BUSINESS ENVIRONMENT

Subject Code: 23A52402c

UNIT - I

Overview of Business Environment

Syllabus Topics Covered

- Introduction: meaning, nature, scope, significance, functions and advantages
- Types: Internal and External, Micro and Macro
- Competitive structure of industries (Porter's Five Forces)
- Environmental analysis (ETPS / SWOT / PESTLE)
- Advantages and limitations of environmental analysis

Tip: learn the red underlined keywords, tables and diagrams. The last page has important questions and a revision sheet.

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1. Meaning of Business Environment

1.1 What is "environment"?

The word environment comes from the French word **"environner"** which means **to surround**. So the environment of a business means everything that surrounds the business and influences its working, either directly or indirectly.

1.2 Meaning

Business environment is the **sum total of all internal and external factors, forces, conditions and institutions** which affect the functioning, growth, profits and survival of a business firm. A business does not work in a vacuum. It takes inputs (money, men, material, machines) from the environment, converts them and gives outputs (goods and services) back to the environment.

Definition - Keith Davis

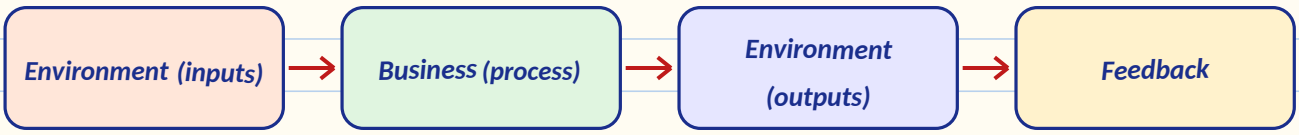
Business environment is the aggregate of all conditions, events and influences that surround and affect it.

[Definition - Wheeler] Business environment is the total of all things external to firms and industries which affect their organisation and operation.

[Definition - William Glueck] Environment is the set of external factors, such as economic, social, political, technological and legal factors, which affect the working of an organisation.

1.3 Business as an open system

A business is an **open system** because it continuously interacts with its surroundings. It receives resources, processes them, and releases outputs, and then adjusts itself according to the feedback received.



- **Inputs:** capital, raw material, labour, technology, information
- **Process:** production, marketing, finance, HR activities
- **Outputs:** goods, services, profits, employment, taxes
- **Feedback:** customer reviews, sales figures, government rules, competitor moves

1.4 Why do we study it?

- To understand the opportunities and threats present around the firm
- To identify the strengths and weaknesses within the firm
- To prepare long term plans and strategies
- To adapt quickly to changes (for example GST, digital payments, e-commerce)

Remember: Business Environment = Internal Factors + External Factors. The internal part is controllable, the external part is uncontrollable.

2. Nature of Business Environment

The nature (features) of business environment explains how the environment behaves. The main features are given below.

2.1 Features

» **Totality of external forces:** it is the sum of all forces (economic, social, political, legal, technological) taken together, not just one force.

» **Specific and general forces:** specific forces (customers, suppliers, competitors) affect a firm directly. General forces (economy, politics, culture) affect all firms in a similar way.

» **Dynamic:** it keeps on changing. Technology, tastes of consumers and government policies change fast, e.g. UPI replaced cash in many places within a few years.

» **Uncertain:** it is very difficult to predict the future environment correctly, e.g. the COVID-19 pandemic.

» **Complex:** many factors act together and are inter-related. A change in interest rates changes demand, prices and investment all at once.

» **Relative:** the environment differs from country to country and region to region. Business rules in India are different from those in the USA.

» **Inter-related:** economic, political and social factors influence each other.

» **Multi-dimensional:** it has many dimensions - economic, social, legal, political, technological, ecological.

» **Far reaching impact:** it affects growth, profit, survival and even the image of a firm.

2.2 Summary table

Feature	Meaning	Example
Dynamic	Constant change	New RBI rules every year
Uncertain	Difficult to predict	Pandemic, wars
Complex	Many factors together	Tax + inflation + demand
Relative	Differs by place	India vs Japan
Totality	All forces together	PESTLE factors

Exam Tip

In a 5-mark answer write any 5 features with one line explanation each. In a 10-mark answer add the open-system diagram and examples.

3. Scope of Business Environment

Scope means the **area or range** covered by the study of business environment. It covers all factors that influence business decisions.

3.1 Main areas in the scope

- **Economic environment:** economic system, planning, fiscal and monetary policy, inflation, income, GDP, banking and capital market
- **Political environment:** government stability, political ideology, relation with other countries, role of political parties
- **Legal environment:** company law, labour law, consumer protection, competition law, IT law, FEMA, GST law
- **Social and cultural environment:** population, age, family, education, values, customs, attitudes, lifestyle
- **Technological environment:** automation, AI, internet, digital payments, R and D, innovation
- **Natural / ecological environment:** climate, resources, pollution, sustainability, environmental laws
- **Demographic environment:** size of population, urban-rural mix, literacy, income groups, workforce
- **International environment:** globalisation, WTO, trade blocs, exchange rates, foreign investment

3.2 Scope diagram



Think

All these environments act on the firm at the same time. A good manager scans all of them regularly, because a threat in one area (a new law) can quickly become an opportunity in another (a new product).

3.3 Extent of scope

- It helps in **short term** decisions (pricing, promotion) and **long term** decisions (expansion, diversification)
- It is useful for **all types of business** - small, medium, large, domestic and multinational
- It is useful for **government** to frame policies and for **students** to study the working of the economy

4. Significance (Importance)

Business environment study is important because no business can survive by ignoring its surroundings.

4.1 Points of importance

» **Identify opportunities:** helps firms spot chances early (first mover advantage), e.g. Jio entered when data demand was growing.

» **Identify threats:** warns about danger early - new competitors, new rules, changing tastes.

» **Tapping useful resources:** a firm gets finance, labour, material and technology from the environment, so it must know where to find them.

» **Coping with rapid changes:** helps to adapt to market, technology and policy changes.

» **Planning and policy formulation:** gives data for strategies and policies.

» **Improving performance:** firms that watch the environment keep high performance and continue for long.

» **Image building:** a firm that follows laws, protects nature and serves society gets a good public image.

» **Continuous learning:** managers learn new skills and ideas by studying the environment.

» **Decision making:** reduces risk because decisions are based on facts.

Remember

Significance can be remembered as: O-T-R-C-P-I = Opportunities, Threats, Resources, Change, Planning, Image.

5. Functions of Business Environment

5.1 Functions (what the study does for a firm)

- **Scanning:** continuously watching the environment to find early signals of change
- **Monitoring:** tracking the trends found during scanning, e.g. inflation rate over several months
- **Forecasting:** predicting the future shape of the environment using data
- **Assessing:** judging the effect of each factor on the firm's goals
- **Adapting:** changing plans, products and structure to fit the environment
- **Influencing:** the firm also tries to influence the environment through lobbying, advertising, CSR

5.2 Cycle of the environment process



5.3 Explanation of functions

- **Business analysis:** the firm studies its own capacity and the market
- **Policy making:** helps the top management to make a mission, vision and objectives that suit the environment
- **Resource mobilisation:** shows where and how to collect resources
- **Risk management:** suggests ways of avoiding or sharing risk (insurance, diversification)
- **Social responsibility:** reminds the firm of its duty to customers, employees, shareholders, government and community

6. Advantages of Business Environment Study

6.1 List of advantages

» Firms get **early warning signals** of danger.
» Firms get the **first mover advantage** by quickly using opportunities.
» It helps to **tap resources** at low cost.
» It helps in **better planning** and **strategy making** .
» Improves **competitiveness** of the firm.
» Helps in **adapting** to rapid technology changes.
» Helps to **build image** with the public and the government.
» Reduces **risk and uncertainty** in decisions.
» Gives knowledge of **customer needs** , so products can be improved.
» Helps in **long-run survival and growth** .

6.2 Example

When the Government of India introduced **GST** in **2017**, firms that had studied the legal and tax environment early changed their billing and accounting systems in advance and avoided penalties, while others struggled.

6.3 Disadvantage / Limitation (brief)

- Environment is uncertain, so forecasts can go wrong
- Gathering data costs time and money
- Small firms may not have experts to analyse the data

7. Types of Business Environment

Business environment is classified in two main ways: (A) Internal and External, (B) Micro and Macro.

7.1 Internal environment

Internal environment consists of factors **within the organisation** which can be **controlled** by management. They are the strengths and weaknesses of the firm.

- **Mission, vision and objectives:** the direction of the firm
- **Organisation structure and culture:** hierarchy, communication, values
- **Human resources:** skills, attitude, motivation, trade unions
- **Physical resources:** plant, machinery, location, technology in use
- **Financial resources:** capital structure, liquidity, profitability
- **Management quality:** leadership style, decision making, image of top managers
- **Corporate image and brand value**

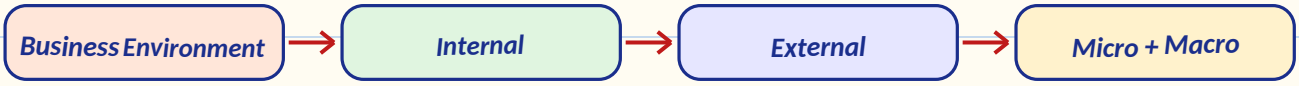
7.2 External environment

External environment consists of factors **outside the firm** which are **beyond its control**. They create opportunities and threats. External environment is again of two kinds:

Micro (Task) Environment

Close to the firm and directly affects daily operations: customers, suppliers, competitors, marketing intermediaries, financiers, public.

[Macro (General) Environment] Wide forces which affect all firms in the society: economic, political, legal, social, technological, natural, demographic.



7.3 Internal versus External

Basis	Internal	External
Meaning	Factors inside the firm	Factors outside the firm
Control	Controllable	Uncontrollable
Nature	Strengths and weaknesses	Opportunities and threats
Change	Slow, can be changed by management	Fast and unpredictable
Examples	Mission, HR, finance, culture	Economy, laws, competitors, technology
Impact	Affects the firm only	Affects the whole industry

7.4 Micro environment (Task environment) - in detail

- **Customers:** the king of the market. Their taste, income and buying habits decide sales. A firm may serve households, industries, government, or foreign buyers.
- **Suppliers:** provide raw material, power, finance and labour. Dependence on one supplier is a risk, so firms keep many suppliers.
- **Competitors:** firms selling similar or substitute products. Four types: **brand, industry, form and generic** competitors.
- **Marketing intermediaries:** middlemen such as agents, wholesalers, retailers, transporters, banks, advertising agencies.
- **Financiers:** banks, NBFCs, venture capital - decide the cost and availability of funds.
- **Public:** groups with interest in the firm - media, consumer forums, NGOs, local community, government bodies.

7.5 Macro environment (General environment) - in detail

- **Economic environment:** type of economic system (capitalist, socialist, mixed), national income, savings, inflation, interest rate, fiscal and monetary policy, business cycle, infrastructure.
- **Political environment:** stability of government, political ideology, policy towards business, relations with other nations, political risk.
- **Legal environment:** laws relating to companies, contracts, consumers, labour, competition, taxation, environment protection, FEMA.
- **Socio-cultural environment:** population, family structure, education, religion, beliefs, customs, consumer behaviour, lifestyle.
- **Technological environment:** pace of innovation, automation, AI, ecommerce, digital payments, cost of R and D, obsolescence.
- **Natural environment:** availability of raw material, climate, pollution control, sustainable development.
- **Demographic environment:** age mix, gender, urbanisation, income distribution, workforce skills.

7.6 Micro versus Macro

Basis	Micro environment	Macro environment
Meaning	Immediate surroundings	Wide general surroundings
Impact	Direct on the firm	Indirect, on all firms
Relation	Specific to a firm	Common to all firms
Control	Firm can influence partly	Firm cannot influence
Elements	Customers, suppliers, competitors	PESTLE forces
Change	Short run changes	Long run changes

7.7 Economic environment of India (important points)

- India follows a **mixed economy** - public sector and private sector work together
- Planning through NITI Aayog (replaced the Planning Commission in 2015)
- **New Economic Policy of 1991:** liberalisation, privatisation, globalisation (LPG)
- Services sector contributes the largest share of GDP
- Key schemes: Make in India, Digital India, Start-up India, Atmanirbhar Bharat, PLI schemes

7.8 Political and legal environment of India

- Democratic republic with a federal structure; policies are made by Centre and States
- Business laws: Companies Act 2013, Competition Act 2002, Consumer Protection Act 2019, FEMA 1999, IBC 2016, GST Act 2017, Labour Codes
- Regulators: RBI, SEBI, IRDAI, CCI, TRAI

Example

When the Government of India banned certain apps in 2020 and introduced PLI schemes in 2020-21, many firms had to change their strategies quickly. This shows the strong effect of the political and legal environment.

8. Competitive Structure of Industries

8.1 Meaning

Competitive structure means the **pattern of competition** within an industry. It tells how many firms exist, how powerful they are, and how profitable the industry is. The best known model is **Michael E. Porter's Five Forces Model (1979)** .

Porter's idea

The profit potential of an industry depends on five competitive forces. The stronger the forces, the lower the profit.

8.2 Porter's Five Forces



- **1. Threat of new entrants:** if entry is easy (low capital, no brand loyalty) profit falls. Barriers to entry are economies of scale, capital need, patents, government licences, brand loyalty, access to distribution.
- **2. Bargaining power of suppliers:** suppliers are strong when they are few, have unique inputs, or the firm has high switching cost.
- **3. Bargaining power of buyers:** buyers are strong when they are few and buy in bulk, products are standard, and switching is easy. They push the price down.
- **4. Threat of substitutes:** products from other industries that satisfy the same need (tea vs coffee, train vs flight). Close substitutes limit the price a firm can charge.
- **5. Rivalry among existing firms:** high when there are many equal sized firms, slow industry growth, high fixed cost, low product difference, high exit barriers.

8.3 Table of Porter's forces

Force	High when	Effect on profit
New entrants	Low entry barriers	Reduces profit
Suppliers	Few suppliers, unique input	Raises cost
Buyers	Few large buyers, easy switching	Reduces price
Substitutes	Many close substitutes	Caps the price
Rivalry	Many equal firms, slow growth	Price wars

8.4 Example: Indian telecom industry

- **Entry:** Jio entered with free offers and forced others to cut price
- **Buyers:** customers can port numbers easily, so buyer power is high
- **Suppliers:** few equipment suppliers (Nokia, Ericsson), so supplier power is moderate
- **Substitutes:** WhatsApp calls and data apps replaced voice and SMS
- **Rivalry:** very high; many firms merged or closed

8.5 Types of market structure (competitive structure of industries)

Structure	Number of firms	Product	Entry
Perfect competition	Very many	Identical	Free
Monopoly	One	Unique	Blocked
Monopolistic competition	Many	Differentiated	Free
Oligopoly	Few	Same or different	Difficult

8.6 Strategies to face competition

- **Cost leadership:** become the lowest cost producer
- **Differentiation:** give a unique product or service quality
- **Focus:** serve a narrow market segment very well

8.7 Limitations of Porter's model

- Static model: does not show change over time
- Ignores the role of government and complementary products
- Difficult to apply to very fast changing industries (digital)

9. Environmental Analysis

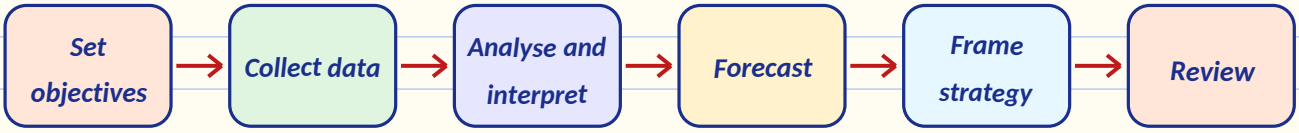
9.1 Meaning

Environmental analysis (environmental scanning) is the **process of studying all the internal and external factors** that may affect a firm, to identify **opportunities and threats** and the firm's **strengths and weaknesses**, so that suitable strategies can be framed.

Definition

Environmental analysis is a continuous process of collecting, interpreting and using information about the environment to guide the future course of action of the organisation.

9.2 Steps / process



- **Set objectives:** decide what to scan and why
- **Collect data:** from newspapers, reports, government data, surveys, internet, trade bodies
- **Analyse and interpret:** find trends, patterns and links
- **Forecast:** estimate future conditions using trend analysis, scenario building, Delphi method
- **Frame strategy:** match the firm's strengths with opportunities
- **Review and feedback:** keep checking, as the environment keeps changing

9.3 Techniques of environmental analysis

» **SWOT analysis:** Strengths, Weaknesses (internal); Opportunities, Threats (external).

» **PESTLE analysis:** Political, Economic, Social, Technological, Legal, Environmental factors.

» **ETOP (Environmental Threat and Opportunity Profile):** lists the environmental sectors and shows whether each is an opportunity or a threat.

» **Porter's five forces:** industry level analysis.

- **Scenario building:** preparing several possible future pictures (best, worst, most likely).
- **Delphi technique:** collecting expert opinions in rounds.
- **Trend extrapolation and time series:** using past data to guess future.

9.4 SWOT matrix

Strengths (Internal, +)	Weaknesses (Internal, -)
Strong brand, skilled staff, good finance	Old machines, high cost, weak R and D
Opportunities (External, +)	Threats (External, -)
New markets, tax benefits, new technology	New rivals, inflation, strict laws

9.5 PESTLE in short

Factor	Examples
Political	Government stability, tax policy, trade rules
Economic	Inflation, interest rate, GDP growth, exchange rate
Social	Population, lifestyle, education, culture
Technological	AI, automation, internet, R and D
Legal	Company law, labour law, consumer law
Environmental	Climate change, pollution norms, sustainability

9.6 Advantages of environmental analysis

- Gives **early warning** about threats
- Helps to **spot opportunities** and use them first
- Supports **strategic planning** and better decisions
- Helps firms to **adapt** to change instead of being surprised
- Improves **resource allocation** (money and people go where they are needed)
- Develops **competitive advantage**
- Reduces **risk and uncertainty**
- Builds a **learning culture** among managers
- Helps to understand **customers and competitors** better

9.7 Limitations of environmental analysis

- **Uncertainty:** the future cannot be predicted exactly, so forecasts may fail
- **Costly and time consuming:** needs money, experts and software
- **Information problems:** data may be incomplete, old or biased
- **Complexity:** too many factors; it is hard to see which one matters most
- **Subjectivity:** managers may interpret facts in a biased way
- **Rapid change:** by the time analysis is done, conditions may have changed
- **Not a substitute for action:** analysis alone does not solve problems; implementation matters

» **Small firms** lack the resources for deep analysis

Conclusion

Despite the limitations, environmental analysis is a must for survival. The firm should use it as a guide, update it regularly and combine it with good judgement.

10. Important Questions (Unit I)

Short answer (5 marks)

- Define business environment. Explain its nature.
- Explain the significance of business environment.
- Distinguish between internal and external environment.
- Differentiate between micro and macro environment.
- Write short notes on: scope, functions, advantages of business environment.

Long answer (10 marks)

- Define business environment and explain its types in detail.
- Explain the micro and macro environment with examples.
- Explain Porter's Five Forces model for analysing competitive structure of an industry.
- What is environmental analysis? Explain its process, techniques, advantages and limitations.

Quick revision sheet

Topic	Remember
Meaning	Sum of all internal and external factors
Nature	Dynamic, uncertain, complex, relative, totality
Types	Internal / External; Micro / Macro
Porter	5 forces: entrants, suppliers, buyers, substitutes, rivalry
Analysis tools	SWOT, PESTLE, ETOP, Scenario, Delphi
Limits	Uncertainty, cost, bad data, bias

BUSINESS ENVIRONMENT

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UNIT - II

Fiscal & Monetary Policy

Syllabus Topics Covered

- Fiscal policy: nature, meaning, significance, functions, advantages
- Public revenues and public expenditure
- Evaluation of recent fiscal policy of GOI; highlights of Budget
- Monetary policy; demand and supply of money; RBI
- Objectives of monetary and credit policy; recent trends
- Role of the Finance Commission

Tip: learn the red underlined keywords, tables and diagrams. The last page has important questions and a revision sheet.

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1. Fiscal Policy - Meaning and Nature

1.1 Meaning

Fiscal policy is the policy of the government regarding **public revenue (taxation, borrowing), public expenditure and public debt**, used to achieve economic goals like growth, employment, price stability and equity. The word "fiscus" means the **state treasury**.

> **Definition - Arthur Smithies**
>
> Fiscal policy is a policy under which the government uses its expenditure and revenue programmes to produce desirable effects and avoid undesirable effects on national income, production and employment.
>
> [Simple words] Fiscal policy = how the government earns (taxes, borrowing) and how it spends (subsidies, salaries, infrastructure) to steer the economy.

1.2 Who makes it?

- Made by the **Ministry of Finance** (Department of Economic Affairs and Department of Revenue)
- Announced every year through the **Union Budget** (Article 112 of the Constitution - Annual Financial Statement)
- Approved by **Parliament**

1.3 Nature of fiscal policy

» **Government policy:** it is decided only by the government, not by the central bank.

» **Uses budget tools:** taxes, public spending, public debt, subsidies.

» **Short and long term:** it is used for yearly stabilisation and for long term development.

» **Counter-cyclical:** the government spends more in recession and saves in boom.

» **Flexible:** can be changed at any time to meet new needs.

» **Quantity of money is affected indirectly:** deficit spending increases money in the economy.

» **Part of the economic planning** and of reform programmes.

1.4 Types of fiscal policy

Type	When used	Action
Expansionary	Recession, unemployment	More spending, less tax → demand rises
Contractionary	Inflation, boom	Less spending, more tax → demand falls
Neutral	Balanced economy	Budget balanced, spending equals tax revenue



2. Significance and Functions

2.1 Significance

- **Resource mobilisation:** taxes and borrowing collect funds for development.
- **Economic growth:** public investment in roads, ports, power and digital infrastructure.
- **Price stability:** controls inflation or deflation by adjusting demand.
- **Employment generation:** public works like MGNREGA, capital projects.
- **Reducing inequality:** progressive income tax and welfare schemes shift income from rich to poor.
- **Balanced regional development:** grants and transfers to backward states.
- **Capital formation:** tax incentives to savings and investment.
- **Encouraging exports and industry:** export incentives, PLI schemes, customs duty changes.

2.2 Functions

- **Allocation function:** providing public goods like defence, roads, law and order which the market does not supply
- **Distribution function:** making income distribution fair through taxes and transfers
- **Stabilisation function:** keeping the economy steady - controlling inflation and unemployment
- **Growth function:** raising savings, investment and production
- **Regulation function:** using taxes and subsidies to discourage harmful goods (tobacco duty) and promote useful ones (green energy)

2.3 Objectives of Indian fiscal policy



2.4 Advantages of fiscal policy

- Gives the government **direct control** over spending and taxes
- Can be targeted to **specific sectors or groups** (farmers, MSMEs)
- Supports **infrastructure** that private sector will not build
- Quick effect on demand in a recession (e.g. stimulus packages in 2020)
- Helps **reduce poverty and inequality**
- Supports **long term development goals** (Viksit Bharat 2047)

3. Public Revenue

3.1 Meaning

Public revenue is the **income of the government** from all sources to meet its expenditure. In the Union Budget it is divided into **revenue receipts** and **capital receipts**.

Government Receipts → Revenue receipts → Capital receipts

3.2 Revenue receipts (do not create liability, do not reduce assets)

Tax revenue

Direct taxes: income tax, corporation tax. Indirect taxes: GST, customs duty, excise on petrol and liquor, etc.

[Non-tax revenue] Interest receipts, dividends and profits from PSUs and RBI, fees, fines, spectrum auction, grants, external aid.

3.3 Capital receipts (create liability or reduce assets)

- **Recovery of loans** given to states and others
- **Borrowings:** market loans, treasury bills, external loans
- **Other receipts:** disinvestment (sale of PSU shares), small savings, provident fund

3.4 Direct vs Indirect taxes

Basis	Direct tax	Indirect tax
Burden	Falls on the person who pays	Can be shifted to consumers
Examples	Income tax, corporate tax	GST, customs duty
Nature	Progressive	Regressive (same rate for all)
Evasion	Easier to evade	Difficult to evade
Impact	Reduces inequality	Raises prices

3.5 Canons of taxation (Adam Smith)

- **Equality:** pay according to ability
- **Certainty:** time, amount and manner of payment must be clear
- **Convenience:** collected in a convenient way and time
- **Economy:** low cost of collection

3.6 GST (Goods and Services Tax) - key points

- Launched on 1 July 2017 ; "One nation, one tax, one market"
- Dual model: CGST + SGST (within a state), IGST (between states)
- GST Council (chair: Union Finance Minister) decides rates
- Rate slabs were simplified in September 2025 into mainly 5% and 18% , with a special 40% rate on sin and luxury goods
- Monthly collections have crossed Rs 2 lakh crore in several months

4. Public Expenditure

4.1 Meaning

Public expenditure is the spending by the government on its own maintenance, on development and on welfare. In Budget it is divided into revenue expenditure and capital expenditure .

4.2 Types

Revenue expenditure

Does not create assets or reduce liabilities. Examples: salaries, pensions, interest payments, subsidies, defence revenue spending, grants to states.

[Capital expenditure] Creates assets or reduces liabilities. Examples: roads, railways, ports, defence equipment, loans to states, repayment of debt.

Classification	Types
Plan / Non-plan (old)	Replaced since 2017 by capital and revenue
Developmental / Non-developmental	Education, health vs defence, interest
Productive / Unproductive	Creates income or not
Central / State	By level of government

4.3 Principle of maximum social advantage (Dalton)

Public expenditure should be carried on up to the point where the marginal social benefit equals the marginal social sacrifice from taxation.

4.4 Causes for growth of public expenditure

- Defence and security needs
- Population growth and urbanisation
- Welfare schemes and subsidies (food, fertiliser, LPG)
- Infrastructure and development needs
- Rising interest payments on past debt
- Inflation, which raises the cost of everything

4.6 Public debt and deficits

Deficit	Formula	Meaning
Revenue deficit	Revenue expenditure - Revenue receipts	Government cannot meet day to day cost from its income
Fiscal deficit	Total expenditure - (Revenue + non-debt capital receipts)	Total borrowing needed in the year
Primary deficit	Fiscal deficit - Interest payments	Borrowing for current needs, apart from past interest

FRBM Act 2003

Fiscal Responsibility and Budget Management Act aims at fiscal discipline - reducing fiscal deficit, revenue deficit and debt. After 2025-26 the government follows a **debt-to-GDP target** (about 50 percent plus or minus 1 by 2030-31) with fiscal deficit glide path.

5. Evaluation of Recent Fiscal Policy of GOI

5.1 Direction of fiscal policy since 2020

COVID stimulus (2020-21) → Capex-led growth (2021-24) → Fiscal consolidation (2024-27)

- **2020-21:** fiscal deficit rose to about 9.2 percent of GDP because of the pandemic, with Atmanirbhar Bharat packages
- **2021-24:** government raised **capital expenditure** sharply (roads, railways, ports) to crowd in private investment
- **2024-27:** a **glide path** to lower the fiscal deficit: **4.8% (2024-25) → 4.4% (2025-26) → 4.3% (2026-27 BE)**

5.2 Achievements (positive evaluation)

» Fiscal deficit **reduced steadily** from the pandemic peak and kept near targets

» **Quality of spending improved:** capex raised from about Rs 4.3 lakh crore (2020-21) to **Rs 12.2 lakh crore (2026-27 BE)**

» **Tax base widened** through GST, digital filing, faceless assessment

» Strong GST and direct tax collections; higher RBI dividend

» **Simplified taxation:** New Income Tax Act, 2025 effective from April 2026; GST slabs simplified in 2025

» Targeted welfare through **DBT (Direct Benefit Transfer)**, reducing leakages

» Boost to manufacturing with **PLI schemes**, Make in India

5.3 Concerns (negative evaluation)

- **Interest payments** take a large share (roughly 20 percent plus) of expenditure, so little room is left
- **Debt-to-GDP** of the Centre is still high, around 56 percent
- **Subsidy burden** (food, fertiliser, LPG) is rigid
- **Low tax-GDP ratio** compared with other emerging economies
- **Private investment** has not risen as fast as public investment
- **Off-budget borrowings** and state level deficits create fiscal risk
- **Job creation** is slower than the number of people joining the workforce

Overall verdict

The recent fiscal policy is **prudent and growth-oriented**: it protects capex, consolidates the deficit and targets welfare. The challenge is to raise revenue, cut interest cost and attract private investment.

6. Highlights of Union Budget 2026-27

(presented by Finance Minister Smt. Nirmala Sitharaman on 1 February 2026 - her eighth consecutive Budget)

6.1 Key numbers

Item	Budget 2026-27 (BE)
Fiscal deficit	4.3% of GDP (4.4% in 2025-26 RE)
Total expenditure	about Rs 53.47 lakh crore
Revenue expenditure	about Rs 41.25 lakh crore
Capital expenditure	about Rs 12.22 lakh crore (3.1% of GDP)
Defence allocation	about Rs 5.95 lakh crore
Fertiliser subsidy	about Rs 1.71 lakh crore

6.2 Main themes and announcements

» **Capex-led growth:** record public capital expenditure continued for infrastructure

» **Fiscal prudence:** consolidation maintained; debt reduction path under the new framework

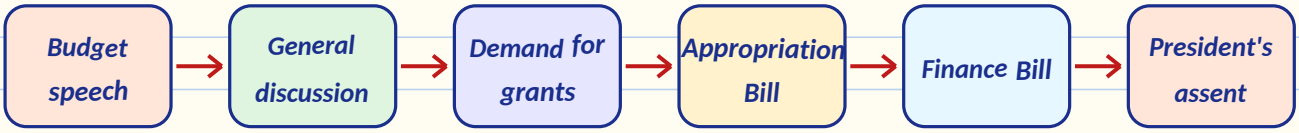
» **No change** in personal income tax slabs; the earlier relief (no tax up to Rs 12 lakh income under the new regime, Budget 2025) continues

» **Compliance simplification:** ITR filing, TDS and NRI related rules made simpler; new Income Tax Act 2025 comes into force from 1 April 2026

- **Manufacturing and technology:** support to semiconductors (ISM 2.0), biopharma, electronics, data centres (tax holiday)
- **MSME support:** MSME 'champions' scheme, credit support and easier compliance
- **Higher STT** (Securities Transaction Tax) on derivatives
- **Transfers to States:** Finance Commission grants and tax devolution (16th Finance Commission period begins 2026-27)

6.3 Budget at a glance (important terms)

- **Budget:** annual financial statement under Article 112
- **Revenue Budget and Capital Budget** - two parts of the budget
- **Finance Bill** gives effect to tax proposals; **Appropriation Bill** allows spending
- **Consolidated Fund, Contingency Fund, Public Account** of India



7. Money - Demand and Supply of Money

7.1 Meaning of money

Money is anything that is **generally accepted** as a medium of exchange, a unit of account, a store of value and a standard of deferred payment.

7.2 Demand for money

Demand for money means the desire of people to **hold wealth in the form of cash** (liquid form).

Keynes' **Liquidity Preference Theory** gives three motives:

- **Transaction motive:** to buy day to day goods; depends on income
- **Precautionary motive:** to meet emergencies (illness, job loss)
- **Speculative motive:** to take advantage of changes in bond prices and interest rate; depends on interest rate (high interest → low money demand)

Fisher's Quantity Theory

$MV = PT$, where M = money supply, V = velocity of circulation, P = price level, T = volume of transactions. If M rises while V and T are constant, then P rises (inflation).

7.3 Supply of money

Money supply is the **total stock of money** held by the public at a particular time. RBI measures it by four measures:

Measure	Components
M1 (narrow money)	Currency with public + demand deposits with banks + other deposits with RBI
M2	M1 + savings deposits with post office savings banks
M3 (broad money)	M1 + time deposits with banks (main measure now)
M4	M3 + all deposits with post office (excluding NSC)

Equilibrium

The rate of interest is determined where **demand for money = supply of money**. RBI controls supply; public decides demand.

7.4 High powered money (reserve money)

Reserve money = Currency in circulation + Banker's deposits with RBI + other deposits with RBI. It is called high powered because it creates a **multiple expansion of credit** by banks (**money multiplier = 1 / reserve ratio**).

8. Reserve Bank of India (RBI)

8.1 About RBI

- Established on **1 April 1935** under the RBI Act, 1934; nationalised on **1 January 1949**
- Headquarters: **Mumbai** ; Governor: **Sanjay Malhotra** (since December 2024)
- It is the **central bank** of India and the regulator of the monetary and banking system

8.2 Functions of RBI

» **Monopoly of note issue:** issues currency notes (except one rupee note and coins, issued by the Ministry of Finance)

» **Banker to the Government:** manages accounts, public debt, gives ways and means advances

» **Banker's bank:** keeps reserves (CRR) of commercial banks; **lender of last resort**

» **Controller of credit:** quantitative and qualitative tools

» **Custodian of foreign exchange reserves** and manager under FEMA

» **Regulator and supervisor of banks and NBFCs**

» **Developmental functions:** financial inclusion, NABARD, payment systems (UPI, NPCI)

» **Monetary Policy Committee (MPC):** six members (3 from RBI, 3 external); sets the repo rate with the target of **4% CPI inflation (+/- 2%)**

9. Monetary Policy

9.1 Meaning

Monetary policy is the policy of the **central bank (RBI)** to control the **supply of money, availability and cost of credit** in the economy, in order to achieve economic goals like price stability and growth.

Definition - Paul Einzig

Monetary policy includes all monetary decisions and measures irrespective of whether they aim at monetary or non-monetary objectives.

[Statutory basis] RBI Act 1934, as amended in 2016, established the **Monetary Policy Committee (MPC)** and a flexible inflation targeting framework.

9.3 Objectives of monetary and credit policy

- **Price stability:** keep CPI inflation at 4 percent (band 2 to 6 percent)
- **Economic growth:** ensure enough credit for productive sectors
- **Full employment:** low interest rates encourage investment and jobs
- **Exchange rate stability:** managing the rupee value through forex intervention
- **Financial stability:** healthy banks, control of NPAs
- **Financial inclusion:** Jan Dhan, UPI, priority sector lending
- **Balanced growth** of credit among agriculture, industry and services



9.4 Instruments of monetary policy

Quantitative (general) tools

They control the total volume of credit.

- **Bank Rate:** rate at which RBI lends long term to banks (currently 5.75%)
- **Repo Rate:** rate at which RBI lends short term to banks against securities (**5.50%** after the October 2026 decision)
- **Reverse Repo / SDF:** rate at which RBI absorbs liquidity (Standing Deposit Facility, **5.25%**)
- **MSF (Marginal Standing Facility):** emergency overnight borrowing by banks (**5.75%**)
- **CRR (Cash Reserve Ratio):** share of deposits kept with RBI in cash
- **SLR (Statutory Liquidity Ratio):** share of deposits kept in safe assets like gold and government securities

- **Open Market Operations (OMO):** RBI buys or sells government securities to inject or absorb money
- **Variable Rate Repo / Reverse Repo auctions** for daily liquidity management

Qualitative (selective) tools

They control the direction and use of credit.

- **Margin requirements** on loans against securities
- **Credit rationing** and **moral suasion** (persuasion to banks)
- **Direct action** (penalty) and **selective credit control**
- **Priority sector lending** targets (agriculture, MSME, housing)

9.5 How it works

Situation	RBI action	Effect
Inflation high	Raise repo, CRR; sell securities	Loans costly, money supply falls, prices ease
Recession	Cut repo, CRR; buy securities	Loans cheap, investment and demand rise

10. Credit Policy and Transmission

10.1 Credit policy

Credit policy means the policy regarding **availability, cost and distribution of bank credit**. Earlier RBI announced a separate "Credit Policy"; now both are included in the **Monetary Policy Statement** issued every two months (six times a year).

10.2 Transmission mechanism



- Since **October 2019** loans are linked to an **external benchmark** (repo rate), so changes pass on quickly to home and auto loan borrowers
- The **MCLR** was used earlier

10.3 Fiscal policy vs Monetary policy

Basis	Fiscal policy	Monetary policy
Made by	Government (Ministry of Finance)	Central bank (RBI, MPC)
Tools	Taxes, spending, debt	Repo, CRR, SLR, OMO
Focus	Growth, equity, public finance	Money, credit, inflation
Speed	Slow (needs Parliament)	Fast (MPC meets 6 times a year)

Affects	Sectors and income groups	Entire economy, interest rate
Time frame	Annual budget	Bi-monthly review

Coordination

Both must work together. For example, if the government borrows heavily (large deficit) the RBI must manage liquidity so that interest rates do not rise sharply.

11. Recent Trends in Monetary Policy

11.1 Timeline

Period	Development
2020-21	Repo cut to 4%, big liquidity support during COVID
May 2022 - Feb 2023	Repo raised from 4% to 6.5% to fight inflation
Feb 2023 - Feb 2025	Repo kept at 6.5% for nearly two years
Feb 2025 - Dec 2025	Easing: repo cut step by step to 5.25% (CRR also reduced)
Aug 2026	Repo unchanged at 5.25%, stance neutral
7 Oct 2026	Repo **raised by 25 bps to 5.50%** ; stance changed to **calibrated tightening**

11.2 October 2026 policy highlights

- MPC voted **unanimously** for the hike; first hike in almost three years
- **SDF 5.25%, MSF and Bank Rate 5.75%**
- GDP growth forecast for 2026-27: **7.1%** ; CPI inflation forecast: **5.2%**
- Next MPC meeting: **2 to 4 December 2026**
- Reason: inflation risks, global tightening (the US Fed has also raised rates) and pressure on the rupee

Note for exams

Policy rates change often. Write the latest figures with the date, for example "repo rate was raised to 5.50% on 7 October 2026". Check RBI website before the exam.

12. Role of the Finance Commission

12.1 Meaning

The Finance Commission is a **constitutional body** (Article 280) appointed by the **President** **every five years** to recommend how tax revenue should be shared between the **Centre** **and** **States** and among the states. It addresses **vertical** **and** **horizontal** **imbalances** of federal finance.

12.2 Composition

- A **chairman** **and** **four** **other** **members**
- Qualifications are decided by Parliament
- The first Finance Commission was formed in **1951** (K.C. Neogy)
- The **16th** **Finance** **Commission** is chaired by **Dr** **Arvind** **Panagariya**; it covers the period **2026-27** **to** **2030-31**

12.3 Functions (Article 280)

» **Distribution** **of** **net** **proceeds** **of** **taxes** between the Union and States (vertical) and among the States (horizontal)

» **Grants-in-aid** to states from the Consolidated Fund of India (Article 275)

» **Measures** **to** **augment** **the** **Consolidated** **Fund** **of** **a** **state** so as to supplement resources of Panchayats and Municipalities (on the basis of State Finance Commission)

» Any other matter referred by the President in the interest of sound finance

12.4 Principles used for sharing among states

Criterion	Meaning
Population and demographic performance	Population as a base
Income distance	States with low income get more
Area and forest cover	Larger area, more forest, more weight
Fiscal discipline and tax effort	Reward for good management

12.5 Recent: 15th and 16th Finance Commission

- **15th** **FC** **(2021-26):** gave states **41** **percent** of the divisible pool and special grants for health, disaster and local bodies
- **16th** **FC** **(2026-31):** recommendations are in force from 2026-27; Budget 2026-27 included about Rs 1.4 lakh crore of Finance Commission grants to local bodies and states

Note

Finance Commission is a recommendatory body; the Government accepts and implements its report through an **Explanatory Memorandum** laid before Parliament. It is different from **NITI Aayog** (policy think tank) and from **State Finance Commissions** (Article 243I).

13. Important Questions and Quick Revision

Short answer (5 marks)

- Define fiscal policy. Explain its nature and functions.
- Distinguish between direct and indirect taxes.
- Explain revenue deficit, fiscal deficit and primary deficit.
- Explain the objectives of monetary policy.
- Write a note on the role of RBI.

Long answer (10 marks)

- Explain public revenue and public expenditure with classification.
- Evaluate the recent fiscal policy of the Government of India and highlight the latest Budget.
- Explain the quantitative and qualitative tools of credit control used by RBI.
- Compare fiscal policy and monetary policy. How do they work together?
- Explain the role of the Finance Commission in Indian federalism.

Quick revision sheet

Topic	Remember
Fiscal policy	Taxes, spending, borrowing; made by government
Monetary policy	Money and credit; made by RBI MPC
Deficits	Revenue, Fiscal, Primary
Budget 2026-27	FD 4.3%, capex Rs 12.22 lakh crore
Repo rate	5.50% (7 Oct 2026), stance calibrated tightening
Finance Commission	Article 280, every 5 years; 16th FC chair Panagariya

BUSINESS ENVIRONMENT

Subject Code: 23A52402c

UNIT - III

India's Trade Policy

Syllabus Topics Covered

- Trade policy: nature, meaning, significance, functions, advantages
- Magnitude and direction of Indian international trade
- Bilateral and multilateral trade agreements
- EXIM policy and role of EXIM Bank
- Balance of Payments: structure and major components
- Causes for disequilibrium in BoP; correction measures

Tip: learn the red underlined keywords, tables and diagrams. The last page has important questions and a revision sheet.

Contents

Topic	Section no.
Trade policy: meaning, nature, significance	1-2
Magnitude and direction of trade	3
Bilateral and multilateral agreements	4
Foreign Trade Policy and EXIM Bank	5-6
Balance of Payments	7
Disequilibrium and correction measures	8
Questions and revision	9

1. Trade Policy - Meaning and Nature

1.1 Meaning

Trade policy is the set of **rules, regulations, taxes, incentives and agreements** adopted by a government to control and promote its **exports and imports**. India's trade policy is called the **Foreign Trade Policy (FTP)** (earlier called EXIM Policy), announced by the **Ministry of Commerce and Industry** under the **Foreign Trade (Development and Regulation) Act, 1992**.

Definition

Trade policy is the combination of measures through which a country regulates its international trade - using tariffs, quotas, licensing, subsidies and trade agreements - to achieve national economic goals.

1.2 Two broad approaches

Approach	Meaning	Tools
Free trade (liberal)	Little government control	Low tariffs, open markets, FTAs
Protectionism	Shield home industry from imports	High tariffs, quotas, import licences, subsidies

1.3 Evolution of India's trade policy



- **1947-1990:** inward looking; high tariffs, licence raj, import substitution
- **1991:** New Economic Policy - removal of licences, reduction in tariffs, rupee made convertible on current account
- **2000s:** SEZ Act 2005, export promotion, WTO membership (since 1995)
- **2015-2020:** Make in India, Atmanirbhar Bharat; Foreign Trade Policy 2015-20
- **2023: Foreign Trade Policy 2023** came into effect on **1 April 2023**; it has no fixed end date and is updated as needed

1.4 Nature of trade policy

- **Government policy:** framed and enforced by the Government of India
- **Dynamic:** changed often to suit global conditions (tariff changes, duty drawback rates)
- **Integrated:** connected with industrial, fiscal and monetary policy
- **Regulatory and promotional:** controls harmful imports and promotes exports
- **Balance of payments oriented:** tries to keep the external account healthy

- **Linked with international rules:** must follow WTO commitments
- **Both short term and long term:** yearly incentives and long term target (2 trillion dollar exports by 2030)

2. Significance, Functions and Advantages

2.1 Significance

- **Earns foreign exchange** through exports to pay for imports (oil, gold, electronics)
- **Promotes economic growth** by widening markets for Indian producers
- **Creates employment** in textiles, gems, IT, leather and agriculture
- **Helps balance of payments** by controlling imports and boosting exports
- **Protects domestic industry** from unfair foreign competition (anti-dumping)
- **Attracts technology and investment** through open trade
- **Strengthens diplomatic ties** through trade agreements
- **Supports self-reliance** (Atmanirbhar Bharat) in key sectors

2.2 Functions

- **Regulation:** controls what can be exported or imported (restricted, prohibited, SCOMET list)
- **Promotion:** gives incentives such as RoDTEP, duty drawback, EPCG
- **Protection:** tariffs, safeguard and anti-dumping duties
- **Facilitation:** single window, digital customs, faster clearances (ease of doing business)
- **Diversification:** opens new markets and products
- **Revenue:** customs duty is a source of government revenue

2.3 Advantages of a good trade policy

- Higher **exports and foreign exchange** reserves
- **Efficient use of resources** by specialisation (comparative advantage)
- **Lower prices and more choice** for consumers
- **Competition** improves quality and technology of Indian firms
- **Economies of scale** because of bigger markets
- **Stable and predictable** environment for exporters
- Helps **MSMEs and farmers** reach global buyers

2.4 Instruments of trade policy

Instrument	Meaning
Tariffs	Customs duty on imports
Quotas	Quantity limit on imports/exports
Subsidies / incentives	Support to exporters
Licensing	Permission needed to trade

Non-tariff barriers	Quality standards, SPS rules, labelling
Trade agreements	FTAs, PTAs, CEPAs

3. Magnitude and Direction of Indian International Trade

3.1 Magnitude (size) - FY 2025-26 (provisional)

Item	Value (US$ billion)
Merchandise exports	about 441.8
Merchandise imports	about 775.0
Merchandise trade deficit	about 333.2
Services exports	about 418.3
Services imports	about 204.4
Total exports (goods + services)	about 860.1 (record)
Overall trade deficit	about 119.3

Key observations

(1) Goods exports grew only about 0.9% while imports rose about 7.4%, so the goods deficit widened. (2) Services exports grew about 7.9% and give a large **services surplus** of about 214 billion dollars, which partly offsets the goods deficit. (3) FY 2024-25 total exports were about 825 billion dollars.

3.2 Composition of exports and imports

Exports	Imports
Engineering goods, electronics (smartphones), petroleum products, gems and jewellery, drugs and pharma, textiles and garments, rice, marine products	Crude oil and gas, gold and silver, electronics and components, machinery, coal, fertilisers, vegetable oils, chemicals

- Share of **manufactured goods** is about 70% of exports
- **Electronics** (mobile phones) and **engineering goods** are growing fastest
- Crude oil, gold and electronics make up the biggest part of imports

3.3 Trends over years

1950-51: very small trade → 1991: reforms begin → 2000s: rapid growth → 2025-26: 860 bn dollars (goods + services)

- India's share in world merchandise exports is only about 2 percent ; target is to reach much higher by 2047
- Trade-GDP ratio has grown after 1991 reforms, showing deeper integration with the world

3.4 Direction of trade

Meaning

Direction of trade means the countries and regions with which a country trades , i.e. its main export destinations and import sources.

Rank	Main export destinations	Main import sources
1	USA (about 87 bn dollars in FY26)	China
2	UAE	Russia
3	Netherlands	UAE
4	UK, China, Hong Kong	USA, Saudi Arabia, Iraq

- In 2025-26 China overtook the USA as India's largest trading partner (total trade about 151 billion dollars), mostly imports
- India has a large trade deficit with China (over 100 billion dollars), and about two thirds of the goods deficit is with a few partners
- The USA remains the biggest export market; in 2025 high US tariffs affected Indian exports, and an interim US trade framework was announced in February 2026
- Diversification is happening: growth to Spain, Vietnam, Sri Lanka, Hong Kong and the UAE
- Region-wise: Asia has the largest share, followed by Europe and North America

4. Bilateral and Multilateral Trade Agreements

4.1 Types of trade agreements

Type	Meaning	Example
Unilateral	One country gives concessions	GSP given by developed countries
Bilateral	Between two countries or blocs	India-UAE CEPA, India-UK CETA
Regional / Plurilateral	Among a group of countries	SAFTA, ASEAN-India, BIMSTEC
Multilateral	Among many countries under one system	WTO / GATT
PTA	Reduced tariff on selected goods	India-Mercosur PTA
FTA	Tariffs removed on most goods	India-ASEAN, India-Sri Lanka
CEPA / CECA / TEPA	FTA + services, investment, cooperation	India-UAE CEPA, India-EFTA TEPA

4.2 Bilateral agreements of India

- **India-UAE CEPA** (in force 1 May 2022) - gold, jewellery, textiles, services; target 100 billion dollars trade
- **India-Australia ECTA** (in force 29 Dec 2022) - early harvest trade agreement
- **India-EFTA TEPA** (Switzerland, Norway, Iceland, Liechtenstein) - signed 10 March 2024, **in force 1 October 2025** ; includes a **100 billion dollars investment commitment over 15 years**
- **India-UK CETA** - signed **24 July 2025** ; in force from **15 July 2026** ; duty free access for about 99% of Indian exports by value; companion Double Contribution Convention
- **India-Oman CEPA** - signed December 2025
- **India-New Zealand FTA** - concluded December 2025 and signed April 2026
- **India-EU FTA** - **concluded 27 January 2026** , called the "mother of all deals"; covers 27 countries and nearly 2 billion people; now in legal scrubbing and ratification
- **India-US interim trade framework** - announced February 2026 to lower tariffs and ease trade tension; talks for a full agreement continue

- Older agreements: India-Sri Lanka FTA (2000), India-Singapore CECA (2005), India-Japan CEPA (2011), India-South Korea CEPA (2010), India-Malaysia CECA

4.3 Regional and multilateral arrangements

- **SAFTA** (South Asian Free Trade Area, 2006) and **APTA** (Asia Pacific Trade Agreement)
- **ASEAN-India FTA** (goods in force from 2010)
- **BIMSTEC** , **SAARC** , **BRICS** (cooperation, New Development Bank)
- India **did not join RCEP** (2019) because of fear of a flood of Chinese imports and a growing trade deficit
- **WTO:** India is a founding member of GATT (1947) and WTO (1995); supports a rule based system

and developing country interests (food security, subsidies)

- **IPEF** and the **India-Middle East-Europe Economic Corridor (IMEC)** are newer strategic initiatives

4.4 Benefits and concerns of trade agreements

Benefits	Concerns
Wider market access, higher exports	Imports may rise, hurting local industry
Lower cost of inputs	Trade deficit may widen (e.g. with ASEAN)
Investment and technology	Pressure on farmers and dairy
Integration into global value chains	Complex rules of origin, non-tariff barriers
Employment in labour intensive sectors	Loss of policy space

> **Note**
> FTAs bring benefits only if exporters actually use them; the **utilisation rate** and rules of origin compliance matter. Trade diversion and misuse through third countries must be checked.

5. EXIM Policy / Foreign Trade Policy

5.1 Meaning

EXIM policy means the policy regarding **export and import** of goods and services. It was announced for five years (1992-97 onwards) and renamed **Foreign Trade Policy (FTP)** in 2009. **FTP 2023** is the current policy.

5.2 Foreign Trade Policy 2023 - Highlights

Incentive to remission → **Collaboration** → **Ease of business** → **Emerging areas**

- **Effective date:** 1 April 2023, **without a fixed end date** ; updates when needed
- **Target:** exports of **2 trillion dollars (goods + services) by 2030**
- **Shift from incentive to remission:** exporters get refund of duties/taxes (RoDTEP, RoSCTL) instead of direct subsidies
- **Export promotion through collaboration:** Exporters, States, Districts and Indian Missions abroad work together - **District as Export Hubs** initiative
- **Ease of doing business:** reduced fees, digital processes, paperless filing, **Advance Authorisation, EPCG** schemes made easier
- **Emerging areas:** e-commerce exports, SCOMET (dual use items) policy, developing **Towns of Export Excellence**
- **Status Holders:** One star to five star export houses get benefits and trust based facilities

» **Amnesty scheme** for pending EPCG and Advance Authorisation obligations

5.3 Important export promotion schemes

Scheme	Purpose
RoDTEP	Refund of duties and taxes on exported products (not refunded earlier)
RoSCTL	Refund of state and central taxes on garments and made-ups
EPCG	Zero duty import of capital goods against export obligation
Advance Authorisation	Duty free import of inputs used in export product
Duty Drawback	Refund of customs and excise duty on inputs
SEZ / EOU	Tax and duty free units for exports
PLI Schemes	Production linked incentive for manufacturing and exports
Export Promotion Mission	Umbrella scheme (approved 2025) for credit, market access and branding

5.4 Other measures to promote trade

- **Interest equalisation** , export credit by banks at lower rates (priority sector)
- **Trade fairs and buyer-seller meets** by EPCs (Export Promotion Councils)
- **Single Window (ICEGATE, Customs)** , faceless assessment, e-BRC
- **Rupee trade settlement** and local currency payments with more countries
- **Logistics:** PM Gati Shakti, National Logistics Policy, dedicated freight corridors

5.5 Import policy

- Goods are classified as **free, restricted, canalised and prohibited**
- Import of restricted items needs a licence from **DGFT** (Directorate General of Foreign Trade)
- Customs duty rates set by the Union Budget; **anti-dumping and safeguard duties** by DGTR
- **Quality Control Orders (QCOs)** and standards (BIS) are used to check poor quality imports

6. EXIM Bank of India

6.1 About

Export-Import Bank of India was set up on **1 January 1982** under the **EXIM Bank Act, 1981** . It is a **wholly Government owned** specialised financial institution, headquartered in **Mumbai** with offices in India and abroad.

6.2 Objectives

- Provide **financial assistance** to exporters and importers
- Act as the **principal financial institution** for coordinating the working of institutions engaged in financing exports and imports
- Promote **cross border trade and investment**

6.3 Functions and role

» **Export credit:** pre-shipment and post-shipment credit to exporters (direct and through banks)

» **Lines of Credit (LoC):** loans to foreign governments and banks to buy Indian goods and services; supports Indian projects in Africa, Asia, Latin America

» **Buyer's credit:** loans to overseas buyers for imports from India

» **Overseas investment finance:** help to Indian companies setting up joint ventures abroad

» **Term loans and guarantees:** for export oriented units, import of technology, and project exports

» **Advisory and information services:** market research, country reports, exporter training

» **Support to MSMEs and agri exporters;** supports "Make in India" and "Atmanirbhar Bharat"

» **Development finance:** manages Government lines of credit under India's development cooperation

Role summary

EXIM Bank fills the gap that commercial banks leave - long term, high risk export finance - and helps Indian firms become global.

7. Balance of Payments (BoP)

7.1 Meaning

Balance of Payments is a **systematic record of all economic transactions** between the residents of a country and the rest of the world during a given period (usually one year or a quarter). It is based on **double entry book keeping**: every transaction has a **credit** (receipt) and a **debit** (payment), so the BoP **always balances in accounting terms**.

Definition - Kindleberger

The balance of payments of a country is a systematic record of all economic transactions between the residents of the reporting country and the residents of foreign countries during a given period of time.

- **Credit items (+):** exports, receipts of foreign exchange, inflow of capital, remittances received
- **Debit items (-):** imports, payments of foreign exchange, outflow of capital, payments abroad

7.2 Balance of Trade vs Balance of Payments

Basis	Balance of Trade (BoT)	Balance of Payments (BoP)
Meaning	Exports minus imports of goods	All transactions - goods, services, capital
Scope	Narrow (visible items)	Wide (visible, invisible and capital)
Balance	Can be surplus or deficit	Always balances in books; may show deficit or surplus in the "autonomous" items
Components	Only merchandise	Current account + Capital account

7.3 Structure and major components



7.4 Current account

Records transactions of **goods, services, income and transfers**. It shows how much the country earns from the world and spends on the world.

- **Merchandise (visible) trade:** exports and imports of goods = **Balance of Trade**
- **Invisibles:** (a) **Services** - IT and software, travel, transport, banking, insurance; (b) **Income** - interest, dividends, profit; (c) **Transfers** - remittances from Indians abroad, gifts, grants

India's pattern

India has a large **merchandise deficit**, partly covered by a large **surplus in services** (software exports) and **private transfers (remittances, among the highest in the world)**. The result is a modest **current account deficit (CAD)**.

7.5 Capital and financial account

Records transactions that **change assets and liabilities** of the country.

- **Foreign investment: FDI** (Foreign Direct Investment) and **FPI** (Foreign Portfolio Investment)
- **Loans:** external commercial borrowings (ECB), trade credits, external assistance
- **Banking capital:** NRI deposits (FCNR, NRE) and bank borrowing
- **Rupee debt service and other capital**
- **Change in foreign exchange reserves** (balancing item)

7.6 Other items

- **Errors and omissions:** balancing figure because of mistakes in data
- **Official reserve transactions:** forex reserves of RBI, gold, SDRs with IMF

7.7 Autonomous vs accommodating items

Autonomous items	Accommodating items
Done for profit, independent of BoP position	Done to cover the deficit or surplus
Exports, imports, FDI	Borrowing from IMF, drawing down reserves

Deficit/Surplus meaning

BoP is in **deficit** when autonomous receipts are less than autonomous payments (so reserves fall). It is in **surplus** when receipts exceed payments (reserves rise).

8. Disequilibrium in Balance of Payments

8.1 Meaning

BoP disequilibrium means an imbalance - **deficit** (payments more than receipts) or **surplus** - in the autonomous items of BoP. For developing countries like India, the common problem is **deficit** .

8.2 Types of disequilibrium

Type	Cause / feature
Cyclical	Business cycle - boom or recession in trading partners
Secular (long term)	Slow structural change in the economy - imports rise faster than exports
Structural	Change in demand, supply or technology (e.g. shift to electronics)
Temporary / seasonal	Short lived, e.g. monsoon failure, oil price shocks
Fundamental	Persistent deficit needing deep correction

8.3 Causes of BoP disequilibrium in India

- **High import bill:** crude oil (about 85 percent imported), gold, electronics, coal, fertiliser
- **Low and uncompetitive exports:** poor infrastructure, high logistics cost, quality problems
- **Rapid population growth and rising consumption** increasing import demand
- **Developmental imports:** machinery and technology for industrialisation
- **Inflation at home** makes exports costly and imports cheaper
- **Exchange rate changes:** a weak rupee raises the import bill
- **Global slowdown and trade barriers:** low demand abroad, tariffs (e.g. US tariffs 2025)
- **Geopolitical shocks:** wars, supply chain breaks, rise in crude price
- **Capital outflows:** foreign investors selling shares when global interest rates rise

» **Debt servicing and dividend payments** to foreigners

» **Speculative flows and political instability**

8.4 Example: 1991 crisis

In 1991 India's forex reserves fell to barely enough for **about three weeks of imports**, after the Gulf War oil shock and high fiscal deficit. India pledged gold and took IMF help, then began **LPG reforms**.

8.5 Correction measures for BoP disequilibrium

A. Monetary measures

Deflation and credit control: higher interest rates reduce domestic demand and imports.

Devaluation / depreciation: a lower rupee makes exports cheaper and imports costly. **Exchange control** to restrict forex use.

[B. Fiscal measures] Reduce government expenditure and raise taxes to lower demand for imports; **export subsidies and tax breaks** (RoDTEP, drawback); cut non-essential imports.

[C. Trade measures] **Export promotion:** incentives, SEZ, EPCs, new FTAs; **Import control:** tariffs, quotas, QCOs, licensing; **import substitution:** make in India, PLI, domestic oil exploration, renewable energy.

[D. Capital account measures] Attract **FDI, NRI deposits, ECBs**; liberalise foreign investment rules; borrowing from **IMF, World Bank**; use **forex reserves** when needed (India holds one of the largest reserves in the world, well above 600 billion dollars).

8.6 Other steps

- **Promote tourism and services exports** (IT, BPO, medical tourism)
- **Encourage remittances** through banking channels
- **Reduce oil dependence:** ethanol blending, EVs, solar, green hydrogen
- **Gold import control:** gold monetisation scheme and sovereign gold bonds
- **Rupee trade settlement** reduces dollar demand
- **Diversify markets** through FTAs (UK, EU, EFTA, Oman, New Zealand)

8.7 Evaluation

Measure	Strength	Weakness
Devaluation	Quick boost to exports	Raises import cost and inflation
Deflation	Reduces imports	Slows growth and jobs
Import control	Quick relief	Retaliation, WTO limits, black marketing
Export promotion	Long term solution	Takes time; needs infrastructure

Conclusion

In the long run the best solution is to **raise productivity and competitiveness**, so that exports grow faster than imports, and to attract stable capital such as FDI.

9. Important Questions and Quick Revision

Short answer (5 marks)

- Define trade policy. Explain its significance and functions.
- Explain the direction of India's foreign trade.
- Differentiate between Balance of Trade and Balance of Payments.
- What is RoDTEP? What is EPCG?
- Write a note on EXIM Bank.

Long answer (10 marks)

- Discuss the magnitude and direction of India's international trade.
- Explain India's major bilateral and multilateral trade agreements.
- Explain the highlights of Foreign Trade Policy 2023 and the role of EXIM Bank.
- Explain the structure and components of Balance of Payments.
- What are the causes of disequilibrium in BoP? Suggest correction measures.

Quick revision sheet

Topic	Remember
FTP 2023	From 1 April 2023, no end date, target 2 trillion dollars by 2030
FY26 trade	Exports 860 bn (goods 442 + services 418); goods deficit 333 bn
Top partners	USA (exports), China (imports; largest trade partner in FY26)
FTAs	UAE, Australia, EFTA, UK (in force Jul 2026), Oman, NZ, EU (concluded Jan 2026)
EXIM Bank	Set up 1982; export credit, LoC, buyer's credit
BoP	Current account + Capital account + Errors + Reserves

BUSINESS ENVIRONMENT

Subject Code: 23A52402c

UNIT - IV

World Trade Organization

Syllabus Topics Covered

- WTO: nature, significance, functions and advantages
- Organisation and structure of WTO
- Role and functions of WTO in promoting world trade
- GATT; agreements in the Uruguay Round - TRIPS, TRIMS
- Dispute Settlement Mechanism
- Dumping and anti-dumping measures

Tip: learn the red underlined keywords, tables and diagrams. The last page has important questions and a revision sheet.

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Uruguay Round, TRIPS, TRIMS	6-8
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Dumping and anti-dumping	10
Recent developments; questions	11-12

1. Introduction to the WTO

1.1 Meaning

The World Trade Organization (WTO) is the international organisation that deals with the rules of trade between nations. It provides a forum for trade negotiations, a system to settle trade disputes and a set of agreements that are signed by member countries.

Key facts

Established on 1 January 1995 as the successor of GATT (1947) | Headquarters: Geneva, Switzerland | Members: 166 (Comoros and Timor-Leste joined in 2024) | Director-General: Dr Ngozi Okonjo-Iweala (Nigeria; second term from September 2025) | Decisions by consensus

[Simple words] WTO is a global rule book plus a court plus a negotiating hall for international trade.

1.2 Background - why WTO was formed

- After World War II, countries planned three institutions: IMF, World Bank and International Trade Organization (ITO)
- ITO (Havana Charter, 1948) failed because the US Congress did not approve it
- So only the General Agreement on Tariffs and Trade (GATT) survived, as a temporary agreement signed by 23 countries in 1947
- GATT lacked legal status, covered only goods, and had a weak dispute system
- The Uruguay Round (1986-94) created the WTO through the Marrakesh Agreement (15 April 1994)

1.3 Nature of WTO

» Permanent international body with legal personality (unlike GATT)
» Rule based system: binding agreements for members
» Covers goods, services and intellectual property (GATT covered only goods)
» Member driven and consensus based, each member has one vote
» Single undertaking: the Uruguay Round results are accepted as one package
» Non-discriminatory and aims at progressive liberalisation
» Forum for negotiation and dispute settlement
» Works with IMF and World Bank for global economic policy coherence

1.4 Significance

- Sets a stable and predictable framework for world trade (bound tariff rates)
- Reduces trade barriers and increases world trade and income
- Protects the interests of developing countries through special and differential treatment (S and D)
- Settles disputes peacefully through rules, not power
- Promotes transparency through trade policy reviews
- Covers about 98 percent of world trade

2. GATT - General Agreement on Tariffs and Trade

2.1 Objectives of GATT

- Reduce tariffs and other barriers to trade
- End discrimination in international trade
- Raise standard of living , full employment and use of world resources

2.2 Rounds of GATT negotiations

Round	Year	Main result
Geneva	1947	23 countries; 45,000 tariff concessions
Annecy	1949	Tariff cuts, new members
Torquay	1951	More tariff concessions
Geneva	1956	Tariff reduction
Dillon	1960-61	Tariff cuts (EEC common tariff)
Kennedy	1964-67	Across the board tariff cut about 35%; first anti-dumping code
Tokyo	1973-79	Non-tariff barriers, subsidy codes
Uruguay	1986-94	Created the WTO; included services, TRIPS, agriculture

2.3 GATT vs WTO

Basis	GATT	WTO
Nature	Temporary agreement	Permanent organisation
Legal status	None	Legal personality
Coverage	Only goods	Goods, services, IPR, investment measures
Membership	"Contracting parties"	"Members"
Dispute system	Slow, weak (blocking possible)	Strong, time bound, binding
Decision	Consensus	Consensus (voting possible but rare)
Agreements	Some optional codes	Single undertaking, mostly binding

2.4 Doha Development Round (2001)

Launched in **Doha, Qatar (2001)** with a focus on developing countries; stuck on **agriculture subsidies, market access (NAMA) and Singapore issues**; talks have been stalled for many years. Some parts survived - **Trade Facilitation Agreement (Bali 2013, in force 2017)**.

3. Organisation and Structure of the WTO

3.1 Structure (top to bottom)

Ministerial Conference → **General Council** → **Councils (Goods, Services, TRIPS)** → **Committees and working groups** → **Secretariat**

- **Ministerial Conference:** the **highest decision making body**; meets at least **once in two years**; all members' trade ministers attend. Examples: Singapore (1996), Seattle (1999), Doha (2001), Cancun (2003), Hong Kong (2005), Bali (2013), Nairobi (2015), Buenos Aires (2017), Geneva (2022, MC12), Abu Dhabi (2024, MC13), **Yaounde, Cameroon (26-29 March 2026, MC14)**.
- **General Council:** day to day management; acts as the **Dispute Settlement Body (DSB)** and **Trade Policy Review Body (TPRB)** also.
- **Three subsidiary Councils:** Council for Trade in Goods, Council for Trade in Services (GATS), Council for TRIPS.
- **Committees:** on agriculture, SPS, TBT, subsidies, anti-dumping, trade and environment, trade and development, balance of payments, etc.
- **Secretariat:** headed by the **Director-General**, located in Geneva, about 600 staff; gives technical support and does not take decisions for members.

3.2 Organisation chart (concept)

Levels of the WTO

Top: Ministerial Conference (all members, every 2 years)

Middle: General Council = DSB (disputes) + TPRB (policy reviews)

Lower: Goods Council | Services Council | TRIPS Council | Committees

Support: Secretariat - Director-General - Deputy Director-Generals

3.3 Other points

- **Decision making:** by consensus; where not possible by majority vote (one member one vote) - almost never used
- **Budget:** contributed by members in proportion to their share in world trade
- **Accession:** a country applies, a working party negotiates, and the Ministerial Conference approves by two-thirds majority
- **India** is a founding member of GATT (1947) and WTO (1995) and a strong voice of the **Global South**

4. Functions of WTO - Role in Promoting World Trade

4.1 Functions

» **Administering trade agreements:** implements and monitors all WTO agreements

» **Forum for trade negotiations:** gives a platform for rounds like Uruguay and Doha

» **Handling trade disputes:** through the Dispute Settlement Understanding (DSU)

» **Monitoring national trade policies:** Trade Policy Review Mechanism (TPRM) - regular review of members' policies

» **Technical assistance and training** for developing and least developed countries (LDCs)

» **Cooperation with IMF and World Bank** for coherence in global economic policy

4.2 Fundamental principles of the WTO trading system

Principle	Meaning
Most Favoured Nation (MFN)	A concession given to one member must be given to all members (no discrimination between partners)
National Treatment	Imported goods must be treated like domestic goods once they enter the market
Reciprocity	Tariff cuts are exchanged on a mutual basis
Binding and enforceable commitments	Tariff rates are bound; cannot be raised freely
Transparency	Rules and policies must be published and notified
Safety valves	Anti-dumping, safeguards, balance of payments exceptions
Special and Differential Treatment	Extra time and flexibility for developing countries and LDCs
Free and fair competition	Against dumping and unfair subsidies



4.3 How WTO promotes world trade

- Cuts **tariffs and non-tariff barriers** step by step through rounds
- Gives **security to traders** (binding rates), so they can plan investments
- Makes trade **fair and predictable** through MFN and national treatment
- Opens **services and IPR markets** (GATS, TRIPS)
- Helps **developing countries** with S and D treatment and Aid for Trade
- Entry of China (2001) and Russia (2012) widened the system
- **Trade Facilitation Agreement (2017):** simplifies customs, cuts trade cost by about 14 percent

5. Advantages (and Criticisms) of WTO

5.1 Advantages

» **Higher trade and income:** world trade has grown manyfold since 1995

» **Rule based, not power based:** small countries can challenge big powers (India won cases against the US and EU)

» **Lower cost of living:** lower tariffs make goods cheaper and give variety

» **Encourages growth and jobs** through export opportunities

» **Reduces trade friction** because disputes are settled peacefully

» **Gives voice to developing countries** (G-33, G-20 groups in agriculture)

» **Stimulates good governance** - transparency and fewer licences

» **Supports small business** with simpler customs and e-commerce rules

5.2 Criticisms and limitations

- **Developed countries dominate** negotiations (Green room meetings)
- **Agriculture subsidies** of rich countries remain high; unfair to farmers of poor countries
- **TRIPS** raises medicine prices and benefits patent holders
- **Environment and labour** issues receive little attention
- **Dispute settlement crisis:** Appellate Body is non-functional since December 2019
- **Slow decisions** because of consensus; **Doha Round** is stalled
- **Rise of protectionism and trade wars** (tariffs of 2018-19 and 2025) and regional deals reduce relevance

5.3 India and WTO

- India wants a **permanent solution on public stockholding for food security** (MSP-based buying) and protection of livelihood of farmers
- India opposes new issues like **investment facilitation (IFD)** being brought into the WTO rule book without consensus
- India supports **restoring the Appellate Body** and **S and D treatment**

6. Uruguay Round Agreements

The Uruguay Round (1986-94) produced the **Final Act signed at Marrakesh on 15 April 1994**, creating the WTO from 1 January 1995. The results are a **"single package"** of agreements.

6.1 Structure of the agreements

Marrakesh Agreement → Annex 1A Goods → Annex 1B GATS → Annex 1C TRIPS → Annex 2 DSU → Annex 3 TPRM

6.2 Main agreements

Agreement	Key content
Agreement on Agriculture (AoA)	Market access, domestic support (AMS), export subsidy reduction; boxes: Green, Amber, Blue
Agreement on Textiles and Clothing (ATC)	Phased out Multi Fibre Arrangement (MFA) by 2005
SPS Agreement	Sanitary and phytosanitary measures: food safety, animal and plant health
TBT Agreement	Technical barriers: standards, labelling must not be discriminatory
TRIMS	Investment measures related to trade (local content etc.)
GATS	General Agreement on Trade in Services - four modes of supply
TRIPS	Trade Related aspects of Intellectual Property Rights
Anti-dumping Agreement (Article VI)	Rules for imposing anti-dumping duties
SCM Agreement	Subsidies and Countervailing Measures
Safeguards Agreement	Temporary import curbs for serious injury
Customs Valuation, Rules of Origin, Import Licensing, Pre-shipment inspection	Procedural simplicity

6.3 Agriculture agreement - the three pillars

- **Market access:** convert non-tariff barriers into **tariffs (tariffication)** and reduce them
- **Domestic support:** reduce trade distorting support measured as **AMS** (Aggregate Measurement of Support); **de minimis** 5% for developed and 10% for developing countries
- **Export competition:** reduce export subsidies (eliminated in 2015, Nairobi decision)

6.4 GATS - four modes of supply

Mode	Meaning	Example
Mode 1 Cross border	Service crosses border	Call centre, software export
Mode 2 Consumption abroad	Consumer moves	Tourism, medical travel
Mode 3 Commercial presence	Firm sets up abroad	Foreign bank branch
Mode 4 Movement of persons	Individuals move temporarily	IT professionals, nurses

- India's interest is highest in **Mode 1 and Mode 4** (IT professionals)

7. TRIPS Agreement

7.1 Meaning

TRIPS = **Trade-Related aspects of Intellectual Property Rights** . It sets **minimum standards of protection** of intellectual property for all WTO members and is binding on all (in force from 1995; a transition period for developing countries till 2000 and for LDCs longer).

7.2 Types of intellectual property covered

- **Copyright and related rights** - 50 years after death of author (at least)
- **Trademarks** and service marks - at least 7 years renewable
- **Geographical Indications (GI)** - e.g. Basmati, Darjeeling tea, Tirupati Laddu, Kondapalli toys
- **Industrial designs** - at least 10 years
- **Patents** - **20 years** protection for product and process
- **Layout designs** of integrated circuits
- **Protection of undisclosed information** (trade secrets)

7.3 Basic principles

- **National treatment** and **MFN** for IP holders
- **Minimum standards** - members can give more protection
- **Enforcement** through courts, customs and penalties
- **Dispute settlement** under the DSU applies

7.4 Flexibilities in TRIPS (important for India)

- **Compulsory licensing:** government allows others to produce a patented product without owner's permission (public health, emergencies)
- **Parallel imports** (grey market imports)
- **Doha Declaration on TRIPS and Public Health (2001)** : TRIPS must not stop members from protecting public health
- **Bolar exception** (generic testing before patent expiry)

7.5 Impact on India

Positive	Negative
Protection of Indian GIs (Basmati)	Higher cost of drugs for patients
Encourages R and D, innovation, pharma growth	Product patents ended reverse engineering
Stronger global credibility	Risk of bio-piracy (neem, turmeric cases)

India's response

India amended its **Patents Act in 1999, 2002, 2005** (product patents introduced from 2005); **Section 3(d)** prevents "evergreening" of patents (Novartis Glivec case, 2013). Other laws: Copyright Act 1957, Trade Marks Act 1999, GI Act 1999, Protection of Plant Varieties Act 2001.

8. TRIMS Agreement

8.1 Meaning

TRIMS = **Trade-Related Investment Measures**. These are the **conditions that a host government puts on foreign investors** which affect trade, for example "buy 50 percent of inputs locally". TRIMS prohibits measures which violate **national treatment (GATT Article III)** and **quantitative restrictions (Article XI)**.

8.2 Prohibited measures (Illustrative List)

- **Local content requirement:** use of a minimum share of domestic inputs
- **Trade balancing requirement:** imports limited to the value of exports
- **Foreign exchange restriction** linked to export earnings
- **Export restriction / domestic sales requirement**

8.3 Key features

- **Transition period:** 2 years for developed, 5 years for developing, 7 years for LDCs
- Members must **notify** all TRIMs that violate the agreement
- **Council for Trade in Goods** monitors; disputes under DSU
- Does **not** cover FDI as a whole; it is only about trade related investment measures

8.4 Impact on India

- India removed **local content and dividend balancing** conditions in autos, and phased out export obligation measures
- The **US challenged** India's local content rules in solar mission (India lost in 2016) - shows how TRIMS limits industrial policy
- India's PLI schemes are designed as **incentives** rather than mandatory local content

8.5 TRIPS versus TRIMS

Basis	TRIPS	TRIMS
Subject	Intellectual property	Investment measures affecting trade
Aim	Minimum IP protection	Remove trade distorting conditions on investors
Benefit to	Patent, trademark holders	Foreign investors
Concern for India	Drug prices, evergreening	Loss of local content policy tool

9. Dispute Settlement Mechanism (DSM)

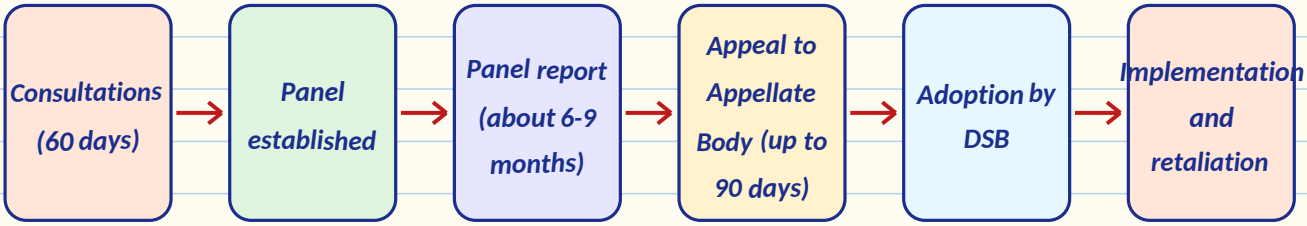
9.1 Meaning

The WTO **Dispute Settlement Understanding (DSU)** is the rule system to **settle trade disputes** between members - when one member thinks another has broken WTO rules. It is called the **"crown jewel"** of the WTO. The **Dispute Settlement Body (DSB)** (the General Council in another form) manages the process.

Principle

Members must not take unilateral action. They must follow multilateral rules and settle disputes **through the WTO**.

9.2 Stages in the dispute settlement process



- **1. Consultations:** the complaining member requests talks with the other; **60 days** to settle bilaterally
- **2. Good offices, mediation, conciliation:** voluntary, may be used at any time
- **3. Panel stage:** if talks fail, the complainant requests a **panel** (three experts); the DSB sets it up automatically (**negative consensus** - it is established unless all members oppose)
- **4. Panel report:** sent to parties first (interim), then to all members; adopted within **60 days** unless appealed
- **5. Appeal:** only on **points of law**, to the **Appellate Body** (7 members, 3 sit on a case) - 60 to 90 days
- **6. Adoption:** by DSB automatically (again negative consensus)
- **7. Implementation:** the loser must comply within a **reasonable period of time**

» **8. Compensation and retaliation:** if not implemented, the winner may get **compensation** or **suspend concessions (retaliation)** after DSB authorisation

9.3 Features of the system

- **Time bound** procedure (about 12-15 months to complete a case with appeal)
- **Automatic** steps: no member can block panel or adoption (negative consensus)
- **Binding** decisions; **retaliation** for non-compliance
- **Applies to all agreements** (goods, services, TRIPS)
- **Special rules for developing countries** (more time, technical help, Advisory Centre on WTO Law)

9.4 Notable cases involving India

Case	Outcome
US - Shrimp / Turtle (1998), India as complainant	Environment vs trade; important precedent
EC - Bed Linen (anti-dumping)	India won
US - Solar cells (India - Solar mission, 2016)	India lost: local content violated national treatment
US - Steel and aluminium tariffs (2018 onwards)	India filed disputes; retaliatory duties notified
India - Sugar subsidies (2019-22)	Panel went against India; appealed into the void

9.5 Crisis of the Appellate Body

- Since **December 2019** the Appellate Body is **non-functional** : the **US blocks appointment of new judges** , citing judicial overreach, so the body has fewer than three members
- This created **"appeal into the void"** : losing party appeals to a body that cannot hear, so the panel report is never adopted
- Workaround: **MPIA** (Multi-Party Interim Appeal Arbitration Arrangement) joined by about **58 members covering roughly 60 percent of world trade** - India and the US have **not** joined
- At **MC14 (Yaounde, March 2026)** members only agreed to continue consultations on dispute settlement reform; no restoration

Exam note

Mention both the strengths (rule based, automatic, binding) and the present crisis (no appeals) in a 10-mark answer.

10. Dumping and Anti-Dumping Measures

10.1 Meaning of dumping

Dumping means exporting a product to another country at a **price lower than its normal value** - lower than the price in the exporter's home market, or than its cost of production.

Definition

Dumping occurs when the export price of a product is less than the comparable price charged in the ordinary course of trade for the like product in the exporting country (WTO Anti-dumping Agreement, Article VI of GATT).

10.2 Types of dumping

Type	Meaning
Sporadic	Occasional sale of surplus stock at a low price abroad
Predatory	Selling cheap to drive out rivals, then raising prices
Persistent	Continuous sale at lower price abroad to use capacity (price discrimination)
Reverse	Selling cheaper in the home market than abroad
Technical / Market share	Aim to capture a foreign market

10.3 Causes and motives

- **Surplus production** and overcapacity (steel, solar panels, chemicals)
- To **capture foreign market** and eliminate competitors
- **Government subsidies** that lower exporters' costs
- **Economies of scale** and price discrimination

10.4 Effects of dumping

On importing country	On exporting country
Injury to domestic industry, job losses	Gains foreign market share
Low prices help consumers for a while	Home consumers pay higher price
Risk of monopoly after rivals leave	May invite retaliation

10.5 Anti-dumping measures

Anti-dumping duty is an extra **import duty** imposed on dumped goods so that the price becomes **fair**. It is allowed by WTO **only if** three things are proved:

- **Dumping** exists (the **dumping margin** = normal value minus export price)
- **Material injury** (or threat) to the domestic industry
- **Causal link** between the dumped imports and the injury

10.6 Procedure

Complaint by domestic industry → **Investigation** → **Preliminary finding** → **Final finding** → **Duty imposed** → **Review after 5 years**

- Investigation normally within **12 months** (maximum 18 months)
- Duty lasts **5 years** (sunset review); duty should not exceed the **dumping margin** (lesser duty rule is encouraged)
- **De minimis:** dumping margin under 2% or import volume under 3% - investigation terminated

10.7 Anti-dumping in India

- Authority: **DGTR (Directorate General of Trade Remedies)**, Ministry of Commerce, **recommends** the duty; the **Ministry of Finance (Department of Revenue)** imposes it
- Law: **Customs Tariff Act 1975** (Sections 9A and 9B) and Anti-Dumping Rules 1995
- India is among the **top users** of anti-dumping duties, mainly against **China** (steel, chemicals, solar glass, aluminium foil, etc.)

10.8 Related trade remedies

Measure	Used against	Condition
Anti-dumping duty	Dumped imports	Dumping + injury
Countervailing duty (CVD)	Subsidised imports	Subsidy + injury
Safeguard duty	Sudden surge of imports (fair trade)	Serious injury; temporary (4-8 years)

10.9 Criticism

- Can be **misused as protectionism** by countries
- Raises **input cost** of domestic users and consumers
- Complex and slow procedure for small exporters

11. Recent Developments (Exam Updates)

- **MC13 (Abu Dhabi, Feb-Mar 2024):** extended the e-commerce moratorium; no deal on agriculture
- **Fisheries Subsidies Agreement** (adopted June 2022) **entered into force in September 2025** after two thirds of members accepted - first WTO agreement on environmental sustainability
- **MC14 (Yaounde, Cameroon, 26-29 March 2026):** no Ministerial Declaration; the **e-commerce moratorium on customs duties on electronic transmissions lapsed** on 30 March 2026 for the first time since 1998; **66 members** agreed to start an interim plurilateral e-commerce agreement; India did not join
- **US tariff policies since 2025** challenge the MFN principle and raise questions on WTO relevance
- **WTO reform** debates: dispute settlement, decision making, development status, plurilateral agreements
- **Investment Facilitation for Development (IFD) Agreement:** plurilateral, supported by 120+ members; India opposed its entry into the WTO rule book

12. Important Questions and Quick Revision

Short answer (5 marks)

- Define WTO. Explain its nature and significance.
- Distinguish between GATT and WTO.
- Explain the functions and principles of WTO.
- Write a short note on TRIPS / TRIMS.
- What is dumping? Explain types of dumping.

Long answer (10 marks)

- Explain the organisation and structure of WTO.
- Discuss the role of WTO in promoting world trade. How far has it benefited India?
- Explain the agreements of the Uruguay Round.
- Explain the Dispute Settlement Mechanism of WTO and its present crisis.
- What are anti-dumping measures? Explain the procedure and India's practice.

Quick revision sheet

Topic	Remember
WTO	1 Jan 1995, Geneva, 166 members, DG Ngozi Okonjo-Iweala
Highest body	Ministerial Conference (every 2 years); MC14 Yaounde March 2026
Principles	MFN, National treatment, Reciprocity, Transparency
Uruguay Round	1986-94, Marrakesh 15 April 1994
TRIPS	Patent 20 years; GI; compulsory licence; Doha Declaration 2001
TRIMS	Bans local content and trade balancing conditions
DSM	Consultation 60 days > Panel > Appeal > DSB > Retaliation
Dumping	Export price below normal value; DGTR in India

BUSINESS ENVIRONMENT

Subject Code: 23A52402c

UNIT - V

Money Markets and Capital Markets

Syllabus Topics Covered

- Indian financial system: nature, meaning, significance, functions, advantages
- Features and components of the Indian financial system
- Objectives, features and structure of money market and capital market
- Reforms and recent developments
- SEBI, stock exchanges; investor protection and role of SEBI
- Introduction to international finance

Tip: learn the red underlined keywords, tables and diagrams. The last page has important questions and a revision sheet.

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1. Indian Financial System

1.1 Meaning

The financial system is the **network of institutions, markets, instruments and services** that helps in the **transfer of savings from savers (surplus units) to borrowers (deficit units)**, who use them for investment.

> **Definition - Van Horne**
> The financial system allocates savings efficiently to ultimate users, either for investment in real assets or for consumption.

Savers (households) → **Financial intermediaries and markets** → **Investors (firms, government)**

1.2 Nature (features)

- **Link between savers and investors:** mobilises idle funds into productive use
- **Part of the economy:** supports every sector - agriculture, industry, services
- **Regulated:** by RBI, SEBI, IRDAI, PFRDA and the Government
- **Dynamic:** changes with technology (UPI, fintech) and reforms
- **Mixed structure:** public sector, private sector and foreign institutions
- **Organised and unorganised sectors:** banks and markets vs money lenders and chit funds
- **Wide coverage:** short term (money market) and long term (capital market) finance

1.3 Significance and functions

- **Mobilisation of savings** and capital formation
- **Allocation of resources** to the most productive uses
- **Provision of liquidity:** assets can be easily sold and converted into cash
- **Payment and settlement system:** cheque, NEFT, RTGS, UPI
- **Risk management:** insurance, derivatives, diversification
- **Price discovery:** markets decide the price of shares, bonds and interest rates
- **Financial inclusion and growth:** loans to farmers, MSMEs, households
- **Reduces transaction cost and information cost**

1.4 Advantages

- Encourages **saving and investment habit**
- Makes **credit cheaper and widely available**
- Supports **government borrowing** and development finance
- Provides **safe and variety of instruments** to different investors
- Helps **economic growth and employment**
- Connects the Indian economy with **global finance**

2. Features and Components of the Indian Financial System

2.1 Four components

Financial institutions → **Financial markets** → **Financial instruments** → **Financial services**

Component	Meaning	Examples
Financial institutions	Intermediaries that mobilise and lend	Banks, NBFCs, LIC, mutual funds
Financial markets	Places where assets are traded	Money market, capital market, forex market
Financial instruments	Claims that carry a financial value	Shares, bonds, T-bills, deposits
Financial services	Support activities	Merchant banking, leasing, factoring, credit rating

2.2 Financial institutions

- **Banking institutions:** RBI, commercial banks (public, private, foreign), small finance banks, payments banks, regional rural banks, co-operative banks
- **Non-banking financial companies (NBFCs):** loan, investment and infrastructure finance companies
- **Development finance institutions (DFIs):** NABARD, SIDBI, EXIM Bank, NaBFID
- **Insurance companies:** LIC, GIC and private insurers
- **Mutual funds, pension funds** (NPS) and **provident funds**

2.3 Regulators of the financial system

Regulator	Area
RBI	Banks, NBFCs, money market, forex, payments
SEBI	Securities market, mutual funds, stock exchanges
IRDAI	Insurance
PFRDA	Pension (NPS)
IFSCA	International Financial Services Centre, GIFT City
Ministry of Finance / FSDC	Overall coordination

3. Money Market

3.1 Meaning

Money market is the market for **short term funds** - borrowing and lending for a period of **one day up to one year**. It deals with **near-money, highly liquid assets**. It is the place where the **RBI** carries out its monetary policy operations.

Definition

The money market is the centre for dealing mainly in short term money assets, which are close substitutes for money, for periods not exceeding one year (Crowther).

3.2 Objectives

- Provide a place for **short term investment of surplus funds**
- Provide **short term funds to borrowers** (working capital)
- Give **liquidity** to banks, companies and the government
- Help the **RBI to control liquidity** and interest rates
- Fix a **reference short term interest rate** (MIBOR / repo)

3.3 Features

- **Short term** (up to 1 year); **no fixed place** - telephone/electronic dealing
- **Wholesale market:** large amounts, few participants
- **High liquidity and low risk**; instruments are mostly discount based
- **Impersonal:** buyer-seller anonymous; RBI is the main regulator
- **Large number of instruments** with different maturities and issuers

3.4 Structure of the Indian money market

Money market → Organised sector → Unorganised sector

- **Organised:** RBI, commercial banks, mutual funds, insurance companies, primary dealers
- **Unorganised:** indigenous bankers, money lenders, chit funds, nidhis - not regulated; supply credit in rural areas

3.5 Participants

Participant	Role
RBI	Regulator; conducts OMO, repo, SDF
Commercial banks	Largest borrowers and lenders (call money)
Primary dealers	Underwrite and trade government securities
Mutual funds	Invest in T-bills, CPs, CDs (liquid funds)
Corporates	Issue CPs; invest surplus
Insurance firms, FIs	Large lenders

3.6 Instruments of the money market

- **Call / notice / term money:** overnight (call), 2 to 14 days (notice), 15 days to 1 year (term) interbank loans; interest = **call rate** (key indicator of liquidity)
- **Treasury Bills (T-bills):** issued by the Government of India at a discount, **91, 182 and 364 days**; safest instrument; no interest, bought at a discount and redeemed at face value
- **Commercial Paper (CP):** unsecured promissory note issued by good rated companies; maturity **7 days to 1 year**
- **Certificate of Deposit (CD):** negotiable time deposit certificate issued by banks; **7 days to 1 year**
- **Commercial Bills:** bills of exchange arising out of trade; discounted by banks
- **Repo and Reverse Repo / TREPS:** repo = sale of securities with an agreement to buy back; **TREPS** (Tri-Party Repo) replaced CBLO in 2018
- **Money Market Mutual Funds (MMMFs)** and liquid funds
- **Cash Management Bills (CMBs)** - short term government borrowing
- **Ways and Means Advances (WMA)** - RBI to government

3.7 Example: T-bill pricing

Item	Value
Face value	Rs 100
Discounted price (91 days)	about Rs 98.60
Return	Rs 1.40 for 91 days (about 5.7% a year)

3.8 Functions of the money market

- **Financing trade and industry** (working capital)
- **Providing a medium for the RBI's monetary policy**
- **Short term investment avenue** at low risk
- **Financing government deficit** through T-bills
- **Smooth functioning of the banking system:** daily liquidity adjustment between banks
- **Helps in the efficient use of funds** (no idle cash)

3.9 Reforms in money market

- Introduction of **new instruments:** CP (1990), CD (1989), T-bills auction (1992), repo, TREPS
- **LAF (Liquidity Adjustment Facility)** in 2000 and **MSF** in 2011; SDF in 2022
- **Interest rate liberalisation**; call money limited to banks and primary dealers
- **Setting up of FIMMDA, DFHI, CCIL** (Clearing Corporation of India Ltd. 2001)
- **Screen based trading (NDS-OM)** and RTGS settlement
- **Benchmark rates:** MIBOR and the overnight repo rate used as reference rates

4. Capital Market

4.1 Meaning

Capital market is the market for **long term funds** (more than one year) used for investment in fixed assets. It deals in **shares, debentures, bonds, government securities and mutual fund units**. It is the main route by which companies and the government raise **long term capital**.

4.2 Objectives

- **Mobilise long term savings** of households for industrial investment
- Provide **funds for expansion, modernisation** and new projects
- Give **investors a way to share the profits** of companies
- Provide **liquidity and exit** through secondary markets
- Support **economic growth and capital formation**

4.3 Features

- **Long term** funds; **risk is higher**, return is higher
- Instruments carry **ownership (equity) or debt** claims
- **Regulated by SEBI** (and RBI for government securities)
- Participants: individuals, companies, banks, FIIs/FPIs, mutual funds, insurers
- Depends on **investor confidence and economic conditions**

4.4 Structure of the capital market

Capital market → Primary market (new issues) → Secondary market (stock exchanges)

Gilt-edged market

Market for government and semi government securities (G-secs, SDLs) - safe, SLR eligible, regulated by RBI

[Industrial securities market] Market for corporate shares, debentures; has primary and secondary parts

[Development financial institutions] Long term loans from institutions such as NABARD, SIDBI, EXIM, NaBFID

4.5 Primary market

The primary market is where **new securities are issued for the first time** and money goes **directly to the company** . It is also called the **new issue market (NIM)** .

Method of issue	Meaning
Public issue - IPO	First time offer by an unlisted company to the public
FPO (Follow-on Public Offer)	Listed company offers more shares
Rights issue	New shares offered to existing shareholders in proportion
Bonus issue	Free shares to shareholders from reserves
Private placement / QIP	Sale to selected investors or qualified institutions
Offer for sale (OFS)	Existing shareholders (promoters) sell shares

- **Book building:** price band; demand is checked and the final price decided
- **ASBA** (Application Supported by Blocked Amount) and **UPI mandate** for IPO applications
- Agencies: **merchant bankers (lead managers), underwriters, registrar, bankers to the issue, brokers**

4.6 Secondary market

The secondary market is where **existing securities are bought and sold** between investors. The company does not get the money; investors get **liquidity** and **price discovery** . Examples: **BSE, NSE** .

4.7 Primary vs Secondary market

Basis	Primary market	Secondary market
Securities	New issues	Already issued (old)
Money goes to	Company	Selling investor
Place	No fixed place; issue process	Stock exchange
Aim	Raise capital	Liquidity and trading
Price	Fixed or book built	Decided by demand and supply
Intermediaries	Merchant banker, underwriter	Stock broker
Role	Capital formation	Marketability and valuation

4.8 Instruments of the capital market

- **Equity shares:** ownership; dividend and capital gain; highest risk; voting rights
- **Preference shares:** fixed dividend; priority over equity in repayment
- **Debentures / bonds:** loan to the company; fixed interest (convertible, non-convertible)
- **Government securities (G-secs) and State Development Loans (SDLs)**
- **Mutual fund units:** pooled investment run by professionals (equity, debt, hybrid; **SIP** route)
- **Derivatives:** futures and options based on shares and indices
- **REITs and InvITs:** invest in real estate and infrastructure projects
- **Exchange Traded Funds (ETFs), Sovereign Gold Bonds**
- **Depository receipts:** ADR, GDR for foreign listing of Indian companies

4.9 Money market vs Capital market

Basis	Money market	Capital market
Period	Up to 1 year	More than 1 year
Purpose	Working capital, liquidity	Fixed capital, expansion
Instruments	T-bills, CP, CD, call money	Shares, bonds, debentures, MF
Risk	Low	Higher
Return	Low	Higher
Participants	Banks, institutions, large firms	Retail and institutional investors
Regulator	RBI	SEBI (and RBI for G-secs)
Nature	Wholesale	Retail and wholesale

5. Stock Exchanges

5.1 Meaning

A **stock exchange** is an organised market where **listed securities are bought and sold** through registered members (brokers) under strict rules. It provides **liquidity, price discovery and safety** of transactions.

5.2 Major exchanges in India

Exchange	Key points
BSE (Bombay Stock Exchange)	Established **1875**, Asia's oldest; index **Sensex** (30 companies); first Indian exchange to get permanent recognition (1957)
NSE (National Stock Exchange)	Set up **1992**, trading began **1994**; screen based; index **Nifty 50**; largest in India by volume, pioneer of derivatives
MSE (Metropolitan Stock Exchange)	Smaller national exchange, also regulated by SEBI
India INX / NSE IX (GIFT City)	International exchanges at IFSC, Gujarat

5.3 Functions of stock exchange

- **Provide liquidity and marketability** to securities
- **Price discovery:** reflects the value of a company
- **Safety:** rules, margin, settlement guarantee by clearing corporations
- **Mobilise savings** and ensure capital formation
- **Barometer of the economy** (Sensex, Nifty show the economy's mood)
- **Corporate governance:** disclosure and listing norms
- **Wealth effect and spread of equity culture**

5.4 Trading and settlement

- **Screen based, online order matching** - no trading floor
- **Dematerialisation (demat):** shares are held electronically with depositories **NSDL (1996)** and **CDSL (1999)**; investor needs a **demat account + trading account + bank account**
- **Clearing corporations:** NSCCL and ICCL guarantee settlement
- **Settlement cycle:** rolling **T+1** (since January 2023, India is one of the few big markets with T+1); **optional T+0** introduced in 2024
- **Circuit breakers** (price bands and index based halts) to stop panic movements
- **Market participants:** brokers, sub-brokers, FPIs, DIIs, retail, market makers

6. Reforms and Recent Developments

6.1 Reforms since 1991

- Setting up SEBI as a statutory regulator (1992); abolition of the Controller of Capital Issues
- Free pricing of issues ; disclosure norms; book building (1995)
- Screen based trading (NSE 1994), depository system (1996), rolling settlement
- Entry of FIIs/FPIs (1992) and Indian companies on ADR/GDR markets
- Derivatives trading started in 2000; mutual funds opened to private sector (1993)
- Credit rating agencies (CRISIL, ICRA, CARE) and Takeover code , insider trading regulations
- Corporate governance norms (Clause 49 / LODR) and Companies Act 2013

6.2 Recent developments (2022-2026)

- T+1 settlement (Jan 2023) and optional T+0 (Mar 2024)
- UPI based IPO applications and shorter listing time (T+3 days)
- Strong retail participation: demat accounts about 23.8 crore (Aug 2026), up from under 5 crore in Dec 2020
- Mutual funds: AUM about Rs 87 lakh crore and monthly SIP inflows over Rs 32,000 crore (Aug 2026); SIP accounts crossed 10 crore
- India ranks first in the world by number of IPOs and third in fundraising (SEBI FY26 report)
- Tighter F&O norms (2024) because SEBI study found most individual derivative traders lose money
- Demat 2.0 pilot for tokenised corporate bonds on distributed ledger technology (Sept 2026)
- Project Jagrook and many investor awareness drives; new simplified ASBA / SCORES 2.0
- Capital markets reforms in Budget 2026-27: higher STT on derivatives; compliance simplification
- Digital rupee (CBDC) , GIFT City IFSC , REITs/InvITs, Sovereign Green Bonds, SME exchanges

Exam hint

Always write 5 to 6 reforms with dates. Examiners like numbers and the names of regulators.

7. SEBI - Securities and Exchange Board of India

7.1 Establishment

- Set up in 1988 as a non-statutory body; given statutory status on 12 April 1992 by the SEBI Act, 1992
- Headquarters: Mumbai (BKC) ; regional offices at Delhi, Kolkata, Chennai, Ahmedabad
- Chairman: Tuhin Kanta Pandey (since March 2025)
- Reason: stock market scams (Harshad Mehta 1992) showed the need for a strong regulator

7.2 Objectives

Protect investors → **Develop the market** → **Regulate the market**

- » Protect the interests of investors in securities
- » Promote the development of the securities market
- » Regulate the securities market and intermediaries

7.3 Composition

- Chairman (appointed by Central Government), 2 members from Ministry of Finance , 1 member from RBI , and 5 other members (at least 3 whole time members)
- Securities Appellate Tribunal (SAT) hears appeals against SEBI orders; further appeal to the Supreme Court

7.4 Functions of SEBI

Protective functions

Prohibit insider trading, fraudulent and unfair trade practices ; check price rigging ; investor education; promote fair practices and code of conduct for intermediaries; control of substantial acquisition and takeovers

[Regulatory functions] Registration of brokers, sub-brokers, merchant bankers, mutual funds, FPIs, credit rating agencies ; regulate stock exchanges, depositories and mutual funds ; framing of rules and regulations (ICDR, LODR, PIT); inspection and audit of intermediaries

[Developmental functions] Training of intermediaries; promote self regulatory organisations ; research and publication; permit new products (REITs, InvITs, SM REITs); market development in GIFT City

7.5 Powers of SEBI

- **Quasi-legislative:** makes regulations
- **Quasi-judicial:** can pass orders, impose **penalty**, suspend or cancel registration
- **Executive:** can inspect books, **search and seize**, investigate, attach assets

8. Investor Protection and Role of SEBI

8.1 Why investor protection?

- Small investors lack information and bargaining power
- Frauds like **ponzi schemes**, **rigging**, **insider trading**, **mis-selling** cause losses and reduce trust in markets

8.2 Investor protection measures

- **Disclosure norms:** prospectus, annual reports, quarterly results, **LODR (Listing Obligations and Disclosure Requirements) Regulations 2015**
- **Prohibition of fraud and insider trading:** **PFUTP Regulations 2003** and **PIT Regulations 2015**
- **KYC and Know Your Client** norms; **demat form** to avoid fake shares
- **Grievance redressal:** **SCORES** portal and **SMART ODR** (online dispute resolution)
- **Investor Protection Fund / Investor Education and Protection Fund (IEPF)** under Companies Act
- **Mandatory credit rating** for debt issues; role of **trustees** for debenture holders
- **ASBA / UPI** for IPO - money stays in investor's account until allotment
- **Mutual fund regulation:** risk-o-meter, TER limits, scheme categorisation
- **Investor awareness:** Saarthi app, Investor Awareness programmes (Project Jagrook, 2026), Investor Certification
- **Circuit filters**, **margin rules**, **settlement guarantee** protect from market manipulation
- **Corporate governance:** independent directors, audit committees

8.3 Investor rights (basic)

Right	Meaning
Right to information	Get all material facts
Right to fair treatment	No discrimination or unfair practices
Right to redressal	Complaint and compensation
Right to education	Awareness of products and risks

9. Introduction to International Finance

9.1 Meaning and scope

International finance deals with **financial and monetary relations between countries** : foreign exchange, balance of payments, international investment, and the institutions which support cross border flows.

Scope

Foreign exchange market | Exchange rate systems | International capital flows (FDI, FPI, ECB) | International financial institutions (IMF, World Bank) | Risk management (hedging)

9.2 Foreign exchange market and exchange rate

- **Foreign exchange (forex)** market is where currencies are bought and sold; the **largest financial market** of the world
- **Exchange rate** is the price of one currency in terms of another (for example Rs per US dollar)

System	Meaning	Example
Fixed	Government fixes the rate	Bretton Woods (1944-71)
Floating (flexible)	Market decides by demand and supply	USD, Euro
Managed float	Market decides; central bank intervenes	**India (RBI)**

- **Spot, forward, swap** transactions; **forex reserves** held by RBI; **FEMA 1999** governs forex (replaced FERA)

9.3 International capital flows

- **FDI** (Foreign Direct Investment): long term, controlling interest; stable
- **FPI / FII:** investment in shares and bonds; volatile ("hot money")
- **ECB:** loans from foreign lenders by Indian firms
- **NRI deposits and remittances**
- **ADR / GDR:** Indian shares listed abroad as depository receipts
- **Foreign currency bonds** (Masala bonds in rupees)

9.4 International financial institutions

Institution	Role
IMF (1944/45, Washington)	Exchange rate stability, short term BoP loans, SDR
World Bank (IBRD, 1944)	Long term loans for development and reconstruction
WTO	Trade rules
BIS (Basel)	Central banks' bank; Basel norms
ADB, AIIB, NDB (BRICS)	Regional development funding

IFSC (GIFT City)	International financial hub in India

Bretton Woods system

Created IMF and World Bank in 1944; fixed rates linked to the US dollar and dollar to gold, which collapsed in **1971** (Nixon shock), leading to floating rates.

9.5 Risks in international finance

- **Exchange rate risk:** changes in currency value; managed by **hedging** (forwards, options, swaps)
- **Interest rate risk, country risk, credit risk**
- **Capital flight and sudden stops** (taper tantrum 2013, rate hikes 2022-23)
- **Currency convertibility:** India has **full convertibility on current account** (since 1994) and **partial on capital account**

9.6 India and international finance

- Large and growing **forex reserves** to guard against shocks
- **Rupee internationalisation:** trade settlement in rupees with several countries; UPI linkages abroad
- **GIFT City IFSC** and growing global investor interest in Indian markets
- Inclusion in **global bond indices** (JP Morgan GBI-EM, 2024) attracts foreign flows

10. Important Questions and Quick Revision

Short answer (5 marks)

- Define financial system. Explain its components.
- Distinguish between money market and capital market.
- Explain the instruments of the money market.
- What is the primary market? Explain methods of floating new issues.
- Write short notes on: SEBI, NSE and BSE, demat account, T-bills.

Long answer (10 marks)

- Explain the structure and functions of the Indian financial system.
- Discuss the objectives, features and structure of the money market. Add notes on reforms.
- Explain the structure of the capital market and its instruments.
- Discuss the functions of SEBI and explain how SEBI protects investors.
- Explain the recent developments in the Indian capital market.
- Write an introduction to international finance.

Quick revision sheet

Topic	Remember
Money market	Up to 1 year; T-bills, CP, CD, call money, repo, TREPS; RBI regulates
Capital market	Over 1 year; shares, bonds, MF; SEBI regulates
Primary market	IPO, FPO, rights, private placement, OFS
Stock exchanges	BSE 1875 (Sensex); NSE 1992 (Nifty 50)
SEBI	Statutory from 12 April 1992; Chair Tuhin Kanta Pandey
Settlement	T+1 since Jan 2023; optional T+0 since 2024
Demat accounts	About 23.8 crore (Aug 2026)
International finance	Forex, BoP, FDI/FPI, IMF, World Bank, exchange rate systems